



SAN BERNARDINO, CA

2025

ANNUAL COMPREHENSIVE FINANCIAL REPORT

OF THE CITY OF SAN BERNARDINO WATER
DEPARTMENT A COMPONENT UNIT OF THE
CITY OF SAN BERNARDINO

FOR THE FISCAL YEAR ENDED JUNE 30, 2025

CITY OF SAN BERNARDINO
MUNICIPAL WATER DEPARTMENT
A COMPONENT UNIT OF THE CITY OF SAN BERNARDINO
Annual Comprehensive Financial Report
For the Year Ended June 30, 2025

PREPARED BY:
THE FINANCE AND ACCOUNTING DIVISION

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CITY OF SAN BERNARDINO
MUNICIPAL WATER DEPARTMENT

A COMPONENT UNIT OF THE CITY OF SAN BERNARDINO

Annual Comprehensive Financial Report

For the Year Ended June 30, 2025

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CITY OF SAN BERNARDINO
MUNICIPAL WATER DEPARTMENT

A COMPONENT UNIT OF THE CITY OF SAN BERNARDINO

Annual Comprehensive Financial Report

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CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

CITY OF SAN BERNARDINO
WATER BOARD

TONI CALLICOTT
President

Commissioners
WAYNE HENDRIX
DAVID E. MLYNARSKI
RIKKE V. JOHNSON
THOMAS BRICKLEY



MIGUEL J. GUERRERO, P.E.
General Manager
ROBIN L. OHAMA
Deputy General Manager
STEVE R. MILLER
Director of Water Utility
KEVIN T. STEWART, P.E.
Director of Water Reclamation
JENNIFER L. SHEPARDSON
Director of Environmental &
Regulatory Compliance
CYNTHIA J. MOUSER
Director of Finance

“Trusted, Quality Service since 1905”

November 25, 2025

To the Water Board Commissioners & ratepayers of the San Bernardino Municipal Water Department,

Introduction:

State law requires that every general-purpose government publish a complete set of audited financial statements within six months of the close of each fiscal year. This report is published to fulfill that requirement for the San Bernardino Municipal Water Department (“Department”) for the fiscal year ended June 30, 2025.

Management assumes full responsibility for the completeness and reliability of the information contained in this report, based upon a comprehensive framework of internal control that it has established for this purpose. Because the cost of internal control should not exceed anticipated benefits, the objective is to provide reasonable, rather than absolute, assurance that the financial statements are free of any material misstatements.

LSL, LLP has issued an unmodified opinion on the Department’s financial statements for the year ended June 30, 2025. The independent auditor’s report is located at the front of the financial section of this report.

Management’s discussion and analysis (“MD&A”) immediately follows the independent auditor’s report and provides a narrative introduction, overview, and analysis of the basic financial statements. MD&A complements this letter of transmittal and should be read in conjunction with it.

Profile of the Department:

The San Bernardino Municipal Water Department and the Water Board of Commissioners (“Board”) were established on May 8th, 1905, by the Mayor and Common Council of the City of San Bernardino in accordance with the provisions specified in the City charter. The Board assembled for the first time on May 16th, 1905, to ensure water supply needs of the community are met by providing trusted, quality service to our customers. This service has grown through the years to include water supply, water reclamation, geothermal heating supply, sewer collection, and administrative support for the growing community.

The first water distribution system of San Bernardino included water supply for approximately six thousand citizens within a one square mile service area. Today, the Department’s service area is approximately 50 square miles and the water supply distribution network now encompasses over 45,000 service connections and

1350 South “E” Street, San Bernardino, California 92408 P.O. Box 710, 92402 Phone: (909) 384-5141

FACSIMILE NUMBERS: Administration: (909) 453-6399 Customer Service: (909) 453-6396 Finance: (909) 453-6383 Engineering: (909) 453-6385

Corporate Yards: (909) 453-6389 Water Reclamation Plant: (909) 453-6395 Environmental & Regulatory Compliance: (909) 453-6391

Environmental Control: (909) 453-6394

750 miles of water mains. Although the number of connections has increased during the past one hundred years, our commitment to providing trusted, quality service remains the same.

The City of San Bernardino receives the majority of its water supply from an underground aquifer called the Bunker Hill Groundwater Basin which is part of the San Bernardino Basin. The water contained in the Bunker Hill Basin is replenished with rain and snowmelt that filters through our local San Bernardino Mountains. This local water supply ensures that San Bernardino Municipal Water Department customers receive high quality, relatively inexpensive water as compared to other communities. Many other communities in Southern California must import their water supplies from remote locations via the Colorado River and State Water Project systems which adds cost. Many water supplies imported from distant locations can be impacted by certain man-made and natural contaminants as the water is transported to the customer. Reliability of imported supplies is also impacted by drought conditions and environmental impacts.

The Department has operated the Water Reclamation Plant (WRP) since 1973. The WRP is a 33 million gallons per day (MGD) regional secondary treatment facility that provides trusted, quality wastewater treatment services for the City of San Bernardino, City of Loma Linda, San Bernardino International Airport, Patton State Hospital, and unincorporated areas of San Bernardino County. The WRP serves over 60,000 customers/connections, of which 38,000 are located within the City's boundaries.

The Sewer Collection section is responsible for maintaining more than 450 miles of sewer mains, several thousand maintenance holes, and lift stations. The system encompasses approximately 38,000 connections and conveys over 8 billion gallons of sewage annually to the Department's Water Reclamation Plant for treatment.

Fiscal Management:

The Board annually adopts an operating and capital budget prior to the new fiscal year. The budget authorizes and provides the basis for reporting and control of financial operations and accountability for the Department's functions, including the Water Utility and Sewer Funds. The budget and reporting treatment applied to a fund is consistent with the accrual basis of accounting and the financial statement basis. Each year the Department adopts a balanced budget.

Local Economy:

The Department's offices are located in the City of San Bernardino ("the City") in San Bernardino County. According to the California Department of Finance, San Bernardino's population as of June 30, 2025, was 222,727. The Water Department ("Department") has been able to maintain a positive economic outlook despite rising inflationary costs, a reduction in sewer revenue and drought regulations through the long-term financial planning. The Department is currently in the fourth year of a four-year rate increase that was approved by the Water Board in March 2022. These adopted rate increases have allowed the Department to maintain revenue stability while experiencing increased inflationary costs for goods and services. The City has received funds from the American Rescue Plan Act (ARPA) that will help stimulate economic growth in the area. The City has given the Department \$3 million in ARPA funds to fund the Department's Lead Service Lateral capital project. The Department has also received over \$5.5 million in grant funding from Federal Emergency Management Act (FEMA) and the Department of Water Resources for the Department's Steel Reservoir Seismic Retrofits capital project and installation of AMI meters throughout the Department's service area. Development within the City continues, which encourages economic growth within the city and creates new capital projects for the Department.

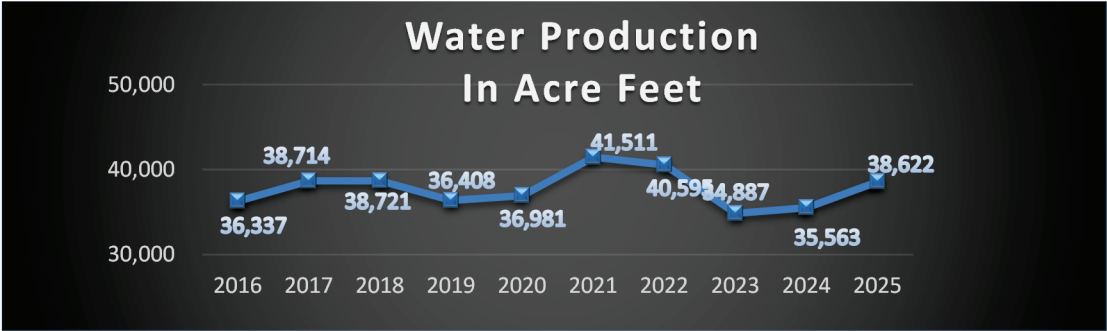
Per the Lowe Institute of Political Economy from Claremont McKenna College, in the Inland Empire, the unemployment rate for the Inland Empire increased by a large number (1.1 percentage points), from 4.8 percent to 5.9 percent in June, compared to May 2025. It is also 0.5 percentage points higher than a year ago (June 2024: 5.4 percent, June 2025: 5.9 percent). However, much of the month-to-month increase is due to regularly occurring seasonal patterns in the data. The Employment Development Department (EDD) does not seasonally adjust data for the Riverside-San Bernardino-Ontario Metropolitan Statistical Area (MSA). The Lowe Institute employ standard statistical techniques to remove the seasonal fluctuations. Removing these results in

a significantly better outlook: after seasonal adjustment, the Inland Empire unemployment rate stands at 5.6 percent, up 0.2 percentage points up from May 2025 (5.4 percent). Compared to a year ago, it still increased by over half a percentage point, from 5.0 percent to the current level of 5.6%. Bottom line, the alarm bells The Lowe Institute have been ringing over the last few months now sound much louder. We may be witnessing the forecasted regional downturn already. National labor market data, including the unemployment rate, are published earlier, typically on the first Friday of each month. Hence we know, by now, that the national unemployment rate for June 2025 fell by 0.1 percentage points from 4.2 percent to 4.1 percent. Changes in the unemployment rate are approximately equal to the difference between the growth rate of the labor force and the growth rate of employment. While the national news at the beginning of the month was good, it was achieved by positive employment growth coinciding with a slightly shrinking labor force. This could indicate discouraged workers dropping out of the labor force, or migrants deciding to leave the labor force. The unemployment rate is gathered from a household survey and hence does not involve employers indicating the number of jobs at their establishments.

State and regional data are made available in the middle of the month, and the EDD released the June numbers on Friday, July 18. The Lowe Institute had previously warned that the employment picture for both the state, but especially the Inland Empire, does not look very positive: employment gains from a year ago basically were the results of only three sectors generating more employment: Local Government (public education), Health, and Logistics. The remaining sectors are losing jobs. Moreover, the three pillars that hold up the building are threatened by national policies, which are about to impact all three of them to differing degrees.

The main question for the June employment report is to what extent the expected significant decline in regional employment materialized has. The answer is, not yet. After seasonal adjusting the data, employment still went up from May 2025, albeit by a relatively small number (about 250). The reason for the unemployment rate to increase was that the labor force grew by more (that is a good sign), namely by roughly 6,250. Ideally, both the labor force and employment would grow, with employment growth outpacing the labor force growth (in which case, the unemployment rate falls). Job gains from a year ago are still centered on three sectors: Health, and Local Government. Logistics (Transportation, Warehousing, and Wholesale) has stopped being a major contributor to employment growth in the Inland Empire.

Strategic planning and collaboration are essential to the long-term reliability of water supplies in the San Bernardino region. The San Bernardino Municipal Water Department has invested in efforts to secure and produce new water supply, encourage water use efficiency, and minimize water system losses. In addition to this long-standing commitment to water efficiency, SBMWD works collaboratively with water agencies in the San Bernardino Valley to preserve local water resources, ensuring adequate supply for the future. SBMWD and partnering agencies are building a more resilient portfolio of local water resources through regional groundwater management, as well as the execution of projects such as recycled water recharge, critical infrastructure and water storage, direct installation or efficient irrigation and fixtures, and water conservation education programs. For the Department, the goal of water use efficiency remains paramount. Efficient water use is the most cost-effective and immediate way to achieve long-term conservation goals. As such, the Department is committed to sharing information, programs, and incentives to encourage and support water use efficiency for our customers.



Major Initiatives:

Advanced Metering Infrastructure

The Department was awarded a \$500,000 grant from the U.S. Bureau of Reclamation to start phase one of the Department's Advanced Metering Infrastructure (AMI) project. In addition to this grant, the Department was also awarded a \$2 million grant by the CA Department of Water Resources Urban and Multibenefit Drought Relief Grant Program. The first phase of the AMI project will install and connect approximately one quarter of the Department's water meters to an advanced communications network to gather water consumption data in real time. This water use data will reduce water waste by enabling the Department to identify and notify customers of leaks and abnormally high-water use more quickly. The first phase is close to completion.

Regional Recycled Water

The Department continues to develop its recycled water project. Construction of the Tertiary Treatment System commenced in 2023 and will be completed and operational in 2025. This initial phase will produce up to 2.5 million gallons per day (MGD) for treatment plant use and irrigation. At the same, the Department is working with its regional partners to develop a regional recycled water system that involves connecting recycled water systems in the region and will provide flexibility to deliver produce recycled water where it is most needed in the San Bernardino Basin. The Department has formed a recycled water coalition with San Bernardino Valley, East Valley Water District, and City of Redlands. The coalition will work collaboratively to mitigate water quality impacts that may arise from recycled water activity.

Long Term Financial Planning:

As part of the Department's Strategic Plan, long-term financial plans were developed for the two Department's enterprises: Water and Sewer Treatment. These financial plans assisted the Department with a cost of service study for the two enterprises. A cost of service/rate study conducted in FY 21-22 recommended an increase to the Department's water and sewer rates. As a result of the study, the water Board adopted a four-year rate increase for the water and sewer funds with the first adjustment effective April 1, 2022. The remaining increases are effective annually on July 1 starting July 1, 2022 through July 1, 2025. With the last year of the rate increase starting July 1, 2025, the Department will initiate a request for proposal for a new rate study aimed to be completed and in effect for FY27.

The Department's financial plan includes the revision of the existing Reserve Policy. The Department's current Reserve policy was revised and adopted by the Board in September 2021.

- **Operating Reserve:** This reserve is established to ensure adequate cash flow is available to meet day-to-day expenses. The target balance is 45 days of the operating expenses budgeted for each respective fund.
- **Rate Stabilization Reserve:** This reserve is established to offset revenue risk associated with low service demands years. The minimum target balance for each fund is twenty percent (20%) of their respective budgeted sales.
- **Emergency Replacement Reserve:** The purpose of this reserve is to minimize the impact of unforeseen capital asset and operating expenses. The target balance for each fund shall be two percent (2%) of the total recorded value of capital assets as of the previous fiscal year.
- **Capital Replacement Reserve:** The Capital Replacement Reserve was set up in order to provide funding support of the Department's capital program. The basis for calculating the target balance for this reserve is a rolling five-year average of the Department's Capital Improvement Program projects, excluding those with external funding. The target balance will be assessed on an annual basis as part of the budgeting process.

The Department has expanded and updated the previous strategic plan. This updated Strategic Plan builds upon our past efforts and captures key priorities identified by the Water Board, staff, and stakeholders. The Strategic Plan, adopted by the Water Board on July 8, 2025, is derived from SBMWD's commitment to providing trusted quality service. The finished plan provides a clear road map for SBMWD's future development and achievements.

Debt Administration:

The Department's outstanding debt as of June 30, 2025 consists of one Revenue Bond in the Water Utility Fund, and one Revenue Bond in the Sewer Utility Fund, as shown in the table below:

Water Fund Long-Term Debt Activity	
Year of Issuance/Description	Use of Proceeds
2016 California Municipal Finance Authority Revenue Bond	Funding for facility construction, seismic retrofit of reservoirs and other capital improvement projects.

Sewer Fund Long-Term Debt Activity	
Year of Issuance/Description	Use of Proceeds
2016 California Municipal Finance Authority Revenue Bond	Funding for primary influent flow equalization project, facility construction, and recycled water project.

Relevant Financial Policies:

Internal Control Structure

Department management is responsible for the establishment and maintenance of the internal control structure that ensures that the assets of the Department are protected from loss, theft or misuse. The internal control structure also ensures that adequate accounting data are compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The Department's internal control structure is designed to provide reasonable assurance that these objectives are met. The concept of reasonable assurance recognizes that (1) the cost of a control should not exceed the benefits likely to be derived and (2) the valuation of costs and benefits requires estimates and judgments by management.

Major Initiatives and Key Values:

The activities of the Board and Department staff are driven by our key value statements as outlined below:

1. Innovation: Applying practical and effective technologies and methods to enhance service delivery and operational efficiency.
2. Community Engagement: Delivering reliable, responsive services whole fostering trust and collaboration with our diverse community.
3. Environmental Stewardship: Protecting our natural resources and proactively adapting to the future challenges.
4. Integrity: Ensuring all actions are conducted with transparency, accountability, and ethical standards.
5. Collaboration: Nurturing strong partnerships with local, regional, and state organizations to address industry challenges and achieve common goals.

Awards and Acknowledgements:

The Government Finance Officers Association (GFOA) of the United States and Canada awarded a Certificate of Achievement for Excellence in Financial Reporting to the Department for its annual comprehensive financial

report for the fiscal year ended June 30, 2024. To be awarded a Certificate of Achievement, the Department must publish an easily readable and efficiently organized annual comprehensive financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

A Certificate of Achievement is valid for a period of one year only. We believe our current annual comprehensive financial report continues to meet the Certificate of Achievement program requirements and we are submitting it to the GFOA to determine its eligibility for another certificate.

Preparation of this report was accomplished by the combined efforts of Department staff. We appreciate the dedicated efforts and professionalism that these staff members contribute to the service of the Department's customers. The contributions made by Andrea Parker, Senior Accountant, Garrett Van Leuven, Senior Accountant, Rob Medina, Accountant I, and Dustin Andolsen, Finance Manager deserve special recognition. We would also like to thank and recognize the members of the Board for their continued support in planning and implementation of the Department's fiscal policies.

Respectfully submitted,

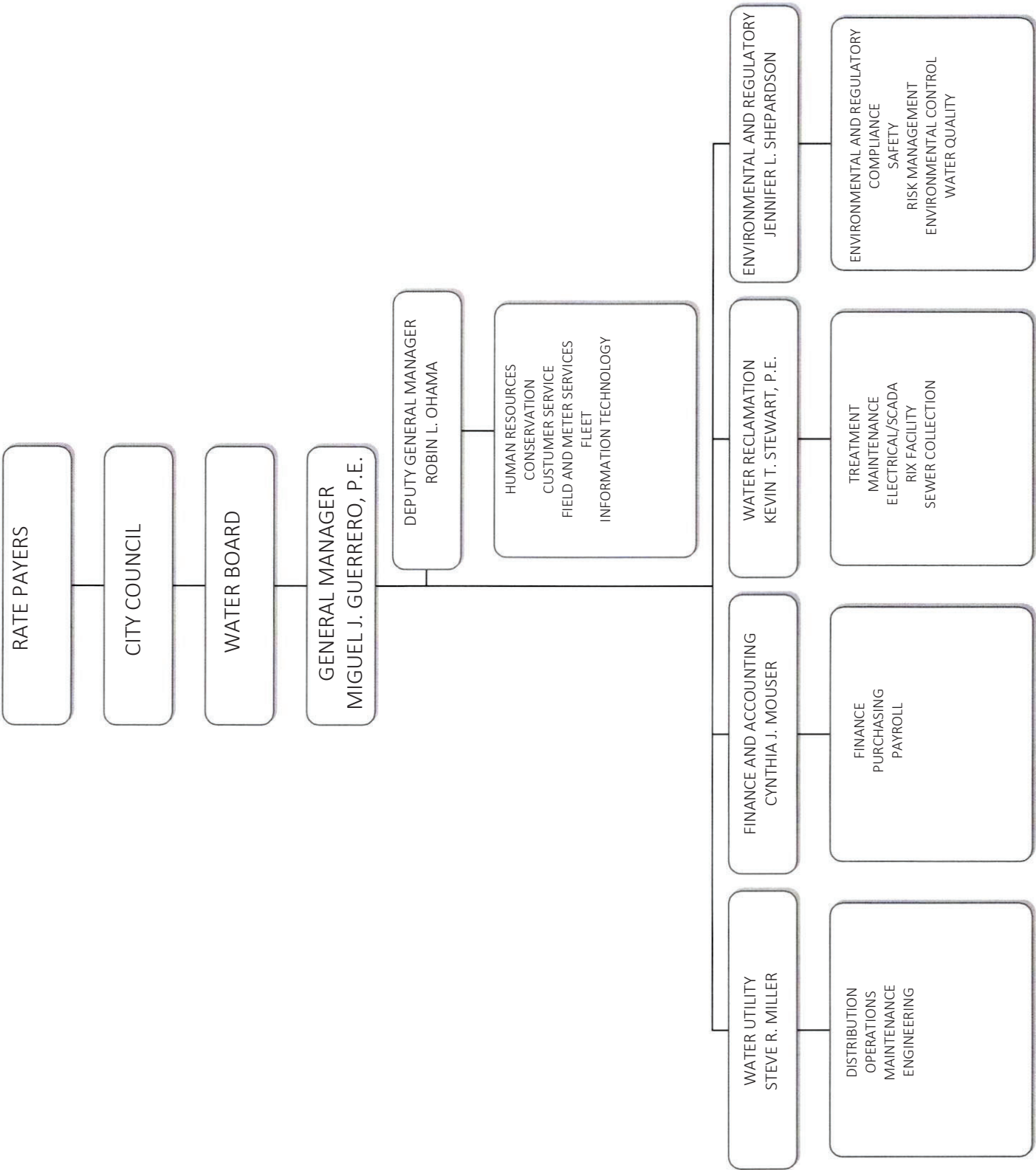


Miguel J. Guerrero, P.E., General Manager



Cynthia J. Mouser, Director of Finance

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT



City of San Bernardino Municipal Water Department

Mayor the City of San Bernardino

Eric Levitt

Water Board

Toni Callicott, President

Wayne Hendrix, P.E., Vice President

David E. Mlynarski, Commissioner

Rikke V. Johnson, Commissioner

Thomas Brickley, Commissioner

Administration

Miguel J. Guerrero, P.E., General Manager

Robin L. Ohama, Deputy General Manager

Steve R. Miller, Director of Water Utility

Kevin T. Stewart, P.E., Director of Water Reclamation

Cynthia J. Mouser, Director of Finance

Jennifer L. Shepardson, Director of Environmental & Regulatory Compliance

Mission Statement

To meet the needs of the community by providing sustainable, high quality water supply and wastewater services in the most professional, environmentally responsible, and cost-effective manner possible.

Organization

The City of San Bernardino Municipal Water Department was formed in 1905 under the Charter of the City of San Bernardino and is governed by the Water Board who are appointed by the Mayor of the City of San Bernardino. The most recent Charter, approved by voters in November 2016, gave the Water Board “Responsibility to oversee and manage the City’s water supply, recycled water, wastewater collection and treatment functions in accordance with State Law.” The Department operated three enterprise funds: the Water Utility Enterprise Fund, the Sewer Utility Enterprise Fund and the Sewer Collection Utility Enterprise Fund. Water service encompasses the City, with the exception of the east end, which is served by East Valley Water District. Sewer treatment service encompasses all of the City of San Bernardino, the City of Loma Linda, the former Norton Air Force Base, Patton State Hospital, and portions of the City of Highland serviced by East Valley Water District. Sewer collection service is provided within the City of San Bernardino boundaries.



Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**City of San Bernardino Municipal Water Department
California**

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2024

Christopher P. Morill

Executive Director/CEO

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INDEPENDENT AUDITORS' REPORT

To the Water Board
City of San Bernardino Municipal Water Department
San Bernardino, California

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of each major fund of the City of San Bernardino Municipal Water Department, a component unit of the City of San Bernardino, (hereafter, the Department) as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the Department's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Department as of June 30, 2025, and the changes in financial position, and cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Department and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Department's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.



To the Water Board
City of San Bernardino Municipal Water Department
San Bernardino, California

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards* we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Department's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Department's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and required pension and other post-employment benefits schedules as listed on the table of contents be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.



To the Water Board
City of San Bernardino Municipal Water Department
San Bernardino, California

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditors' report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated October 15, 2025, on our consideration of the Department's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Department's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Department's internal control over financial reporting and compliance.

LSL, LLP

Irvine, California
October 15, 2025

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MANAGEMENT'S DISCUSSION AND ANALYSIS

The City of San Bernardino Municipal Water Department (Department) is a water, sewer collection and treatment utility responsible for delivering high quality, economically priced water, sewer treatment and sewer collections services to a quarter of a million customers in and around the City of San Bernardino, California. This section of the Department's annual financial report presents management's analysis of the Department's financial performance during the fiscal year that ended on June 30, 2025. Please read it in conjunction with the basic financial statements which follow this section.

All amounts in the Management's Discussion and Analysis within text areas are in thousands unless otherwise noted.

Financial Highlights:

- The Department's overall net position increased by \$28.6 million or 8.2%.
- Operating revenues increased \$2.7 million or 2.94% from the prior fiscal year. Water consumption was up approximately 8.0% in FY25 from FY24. Water revenues increased due to a rate increase effective July 1, 2024 along with the increased consumption. Sewer revenues decreased mainly due to East Valley Water District putting their treatment plant into service and now treat their own wastewater despite an increase effective July 1, 2024.
- Operating expenses decreased \$11.3 million, 10.91% from the prior fiscal year. The most significant decreases were noted in the categories of depreciation and General, Administration and overhead. Depreciation decreased due to one-time adjustments made to depreciation in the prior year. The Water department's claims liabilities significantly decreased from the prior year and the offset to the annual entry is grouped in administration and overhead causing a reduction in overall expenditures.
- Net income/loss before capital contributions increased by \$16.7 million.
- The Department's current ratio (the ability to pay short-term obligations) was 3.9.
- Cash available (the ability to cover current expenses with cash) was 470 days.

Overview of the Financial Statements

The discussion and analysis are intended to serve as an introduction to the Department's basic financial statements. The Department's basic financial statements are comprised of two components: the Financial Statements and the Notes to the Basic Financial Statements. This report also contains other supplementary information in addition to the basic financial statements themselves. Information providing citywide financial results is available in the City's Annual Comprehensive Financial Report.

Required Financial Statements

The financial statements of the Department report information about the Department using accounting methods similar to those used by private sector companies. These statements offer short-term and long-term financial information about its activities. The Statement of Net Position (page 15) includes all of the Department's investments in resources (assets) and the obligations to creditors (liabilities). It also provides the basis for evaluating the capital structure of the Department and assessing the liquidity and financial flexibility of the Department. All of the current year's revenues and expenses are accounted for in the Statement of Revenues, Expenses and Changes in Net Position. (page 16) This statement measures the success of the Department's operations over the past year and can be used to determine whether the Department has successfully recovered all its costs through its user fees and other charges, profitability, and credit worthiness. The final required financial statement is the Statement of Cash Flows (pages 17-18). The primary purpose of this statement is to provide information about the Department's cash receipts and cash payments during the reporting period. The statement reports cash receipts, cash payments,

and net changes in cash resulting from operations, investing, and financing activities and provides answers to questions such as “where did cash come from, what was cash used for, and what was the change in cash balance during the reporting period?”

Financial Analysis of the Department

Our analysis of the Department begins on page 6 of the financial statements. One of the most important questions to ask about the Department’s finances is “Whether the Department, as a whole, is better off or worse off as a result of the year’s activities?” The Statement of Net Position, and the Statement of Revenues, Expenses and Changes in Net Position report information about the Department’s activities in a way that will help answer this question. These two statements report the net position of the Department and changes in them. Measuring the change in the Department’s net position - the difference between assets and liabilities - is one way to measure financial health or financial position. Over time, increases or decreases in the Department’s net assets are indications of whether its financial health is improving or deteriorating. However, one will need to consider other non-financial factors such as changes in economic conditions, population growth, and zoning and new or changed government legislation.

Water Utility Fund

To begin our analysis, a summary of the Water Utility Fund’s Statement of Net Position is presented in Table A-1.

TABLE A-1
Condensed Statement of Net Position - Water Utility
(amounts expressed in thousands of dollars)

	2025	2024	\$ Change	% Change
Current and noncurrent assets	\$ 105,015	\$ 119,269	\$ (14,254)	-12.0%
Capital assets	247,991	213,546	34,445	16.1%
Total assets	353,006	332,815	20,191	6.1%
Deferred outflows of resources	8,756	10,266	(1,510)	-14.7%
Current liabilities	18,692	16,031	2,661	16.6%
Noncurrent liabilities	123,502	129,021	(5,519)	-4.3%
Total liabilities	142,194	145,052	(2,858)	-2.0%
Deferred inflows of resources	6,684	7,471	(787)	-10.5%
Net investment in capital assets	204,647	180,169	24,478	13.6%
Restricted	3,388	2,414	974	40.3%
Unrestricted	4,849	7,975	(3,126)	39.2%
Total net position	<u>\$ 212,884</u>	<u>\$ 190,558</u>	<u>\$ 22,326</u>	<u>11.7%</u>

The table highlights, the Water Utility total net position increased 11.7% or \$22.3 million in fiscal year 2025. The favorable increase in net position is primarily related to the increase in total capital assets (\$34.44 million).

TABLE A-2
Condensed Statement of Revenues, Expenses and Changes in Net Position - Water Utility
(amounts expressed in thousands of dollars)

	<u>2025</u>	<u>2024</u>	<u>\$ Change</u>	<u>% Change</u>
Operating revenue	\$ 50,542	\$ 45,985	\$ 4,557	9.9%
Operating expenses	<u>48,868</u>	<u>53,997</u>	<u>(5,129)</u>	<u>-9.5%</u>
Total Operating Income(loss)	1,674	(8,012)	9,686	-120.9%
Investment Income	1,990	2,545	(555)	-21.8%
Noncapital grant funds	9,106	5,567	3,539	63.6%
Gain(loss) on disposal of capital assets	2,716	85	2,631	3095.3%
Other nonoperating revenue	769	567	202	35.6%
Interest expense and fiscal charges	<u>1,728</u>	<u>1,784</u>	<u>(56)</u>	<u>-3.1%</u>
Total Nonoperating Income(Expenses)	12,853	6,980	258	3.7%
Income (loss) before capital contributions	<u>14,527</u>	<u>(1,032)</u>	<u>15,559</u>	<u>-1507.7%</u>
Capital contributions	<u>8,408</u>	<u>5,130</u>	<u>3,278</u>	<u>63.9%</u>
Change in net position	22,935	4,098	18,837	-459.7%
Net position at the Beginning of the Year	<u>190,558</u>	<u>186,460</u>	<u>4,098</u>	<u>2.2%</u>
Restatement	<u>(609)</u>	<u>-</u>		
Total net position	<u>\$ 212,884</u>	<u>\$ 190,558</u>	<u>\$ 22,935</u>	<u>12.0%</u>

Total revenues increased by 9.9% or \$4.5 million. Capital grant revenue increased from the prior year due the FEMA grant monies and other state grants used for projects as intended. Investment income decreased in Water but increased in Sewer from the prior year but overall decreased due to poor market performance compared to the prior year. The Water Department sold a piece of land to the City of San Bernardino which resulted in a large gain on sale of asset. Water operating revenues also reflect a modest increase due to a rate increase effective July 1, 2024. Total operating expenses decreased 9.5% or \$5.1 million. Significant variances were due to decreased depreciation expense as well as reduced administration and overhead. The Water departments claims liabilities significantly decreased from the prior year and the offset to the entry is grouped in Admin and overhead.

TABLE A-3
Capital Assets - Water Utility
(amounts expressed in thousands of dollars)

	2025	2024	\$ Change	% Change
Land and easements	\$ 5,838	\$ 5,869	\$ (31)	-0.5%
Construction in progress	58,715	25,803	32,912	127.6%
Wells and pumping	105,491	105,758	(267)	-0.3%
Distribution	187,660	185,239	2,421	1.3%
Right -of-use assets	-	402	(402)	-100.0%
Plant and facilities	6,917	6,943	(26)	-0.4%
Other capital assets	14,078	11,377	2,701	23.7%
Total capital assets	378,699	341,391	37,308	10.9%
Less: accumulated depreciation	(130,708)	(127,846)	(2,862)	2.2%
Total capital assets, net	\$ 247,991	\$ 213,545	\$ 34,446	16.1%

Total capital assets, net increased by 16.1% or \$34.4 million in fiscal year 2025. The Water fund capitalized \$6.7 million in various capital projects completed and placed in service during FY2025. The increase is also attributed to an increase in Construction in progress (CIP) expenditures related to Reservoir Seismic upgrades (\$9.3 million), SBMWD Administration Facility (\$9.2 million), the Mountain Pressure Zone Main Replacement project (\$5.6 million), the Advanced Metering Infrastructure project (\$3.8 million) and the Muscoy Service Line Replacement project (\$3.0 million). The department Additional information on capital assets is presented in Note 3 of the Notes to the Basic Financial Statements.

TABLE A-4
Long-term Debt - Water Utility
(amounts expressed in thousands of dollars)

	2025	2024	\$ Change	% Change
Bonds Payable	\$ 41,075	\$ 42,125	\$ (1,050)	-2.5%
Bond Premium	4,216	4,414	(198)	-4.5%
Leases and subscriptions	-	12	(12)	100.0%
Compensated Absences	2,355	2,154 *	201	9.3%
Total long-term debt	\$ 47,646	\$ 48,705	\$ (1,059)	-2.2%

*Restated due to implementation of GASB 101

Total long-term debt decreased by 2.2% or \$1.1 million due to annual debt service payments. Additional information on long-term debt is presented in Note 4-6 of the Notes to Basic Financial Statements.

Sewer Utility Fund

To begin our analysis, a summary of the Sewer Utility Fund's Statement of Net Position is presented in Table B-1.

TABLE B-1
Condensed Statement of Net Position - Sewer Utility
 (amounts expressed in thousands of dollars)

	<u>2025</u>	<u>2024</u>	<u>\$ Change</u>	<u>% Change</u>
Current and noncurrent assets	\$ 87,019	\$ 111,716	\$ (24,697)	-22.1%
Capital assets	<u>145,282</u>	<u>118,822</u>	<u>26,460</u>	<u>22.3%</u>
Total assets	232,301	230,538	1,763	0.8%
Deferred outflow of resources	<u>8,190</u>	<u>9,653</u>	<u>(1,463)</u>	<u>-15.2%</u>
Current liabilities	12,122	14,302	(2,180)	-15.2%
Noncurrent liabilities	<u>62,043</u>	<u>64,543</u>	<u>(2,500)</u>	<u>-3.9%</u>
Total liabilities	74,165	78,845	(4,680)	-5.9%
Deferred inflow of resources	<u>3,273</u>	<u>3,742</u>	<u>(469)</u>	<u>-12.5%</u>
Net investment in capital assets	114,911	95,673	19,238	20.1%
Restricted	3,020	2,152	868	100.0%
Unrestricted	<u>45,122</u>	<u>59,779</u>	<u>(14,657)</u>	<u>-24.5%</u>
Total net position	<u>\$ 163,053</u>	<u>\$ 157,604</u>	<u>\$ 5,449</u>	<u>3.5%</u>

The table above highlights, the Sewer Utility net position increased 3.5% or \$5.4 million in fiscal year 2025. The total net position increased as a result of current year operations. The increase in Capital Assets due to the increased activity in CIP projects for fiscal year 2025.

TABLE B-2
Condensed Statement of Revenues, Expenses and Changes in Net Position - Sewer Utility
(amounts expressed in thousands of dollars)

	<u>2025</u>	<u>2024</u>	<u>\$ Change</u>	<u>% Change</u>
Operating revenue	\$ 45,596	\$ 47,385	\$ (1,789)	-3.8%
Operating expenses	<u>44,207</u>	<u>50,351</u>	<u>(6,144)</u>	<u>-12.2%</u>
Total operating income(loss)	1,389	(2,966)	(6,144)	207.1%
Investment Income	1,914	1,521	393	25.8%
Gain(loss) on disposal of capital assets	13	600	(587)	-97.8%
Interest expense and fiscal charges	<u>1,136</u>	<u>1,175</u>	<u>(39)</u>	<u>-3.3%</u>
Total nonoperating income(loss)	791	946	432	45.7%
Income (loss) before capital contributions	<u>2,180</u>	<u>(2,020)</u>	<u>4,200</u>	<u>-207.9%</u>
Capital contributions	3,515	2,725	790	29.0%
Change in net position	5,695	705	4,990	707.8%
Net position at the Beginning of the Year	<u>157,604</u>	<u>156,899</u>	<u>705</u>	<u>0.4%</u>
Restatement	<u>(246)</u>	<u>-</u>	<u>(246)</u>	
Total net position	<u>\$ 163,053</u>	<u>\$ 157,604</u>	<u>\$ 5,449</u>	<u>3.5%</u>

During fiscal year 2025, total revenues for the Sewer Utility decreased 3.8% or \$1.8 million, from the prior year, primarily due to East Valley Water District putting their treatment plant into service and now treat their own wastewater when we had done so in the past. There was a decrease in operating costs by 12.2% or \$6.1 million. Significant variances were due to decreased depreciation expense as well as reduced administration and overhead. The Water departments claims liabilities significantly decreased from the prior year and the offset to the entry is grouped in administration and overhead. Investment income decreased in Water but increased in Sewer from the prior year but overall decreased due to poor market performance compared to the prior year.

TABLE B-3
Capital Assets - Sewer Utility
(amounts expressed in thousands of dollars)

	2025	2024	\$ Change	% Change
Land and easements	\$ 17,603	\$ 17,603	\$ -	0.0%
Construction in progress	50,214	31,343	18,871	60.2%
Pumping	3,949	3,958	(9)	-0.2%
Buildings, plants and stores	187,004	181,029	5,975	3.3%
Field and office equipment	15,428	13,510	1,918	14.2%
Pipelines	28,967	27,019	1,948	7.2%
Total capital assets	303,165	274,462	28,703	10.5%
Less: accumulated depreciation	(157,883)	(155,640)	(2,243)	1.4%
Total net assets	\$ 145,282	\$ 118,822	\$ 26,460	22.3%

Total capital assets increased by 22.3% or \$26.4 million in fiscal year 2025, primarily due to increased in Capital Assets due to the increased activity in CIP projects for fiscal year 2025. More information relating to capital assets can be found in Note 3 of the Notes to the Basic Financial Statements.

TABLE B-4
Long-term Debt - Sewer Utility
(amounts expressed in thousands of dollars)

	2025	2024	\$ Change	% Change
Bonds Payable	28,930	29,740	(810)	-2.7%
Bond Premium	137	144	(7)	-4.9%
Compensated absences	1,028	834 *	194	23.3%
Total long-term debt	\$ 30,095	\$ 30,718	\$ (623)	-2.0%

*Restated due to implementation of GASB 101

During the year, the Sewer Utility's long-term debt decreased 2.0% or \$0.6 million which can be attributed to the annual debt service payments. Additional information on long-term debt is presented in Note 4-6 of the Notes to Basic Financial Statements.

Economic Factors and Next Year's Budgets and Rates

The Service Area (Service Area) economy served by the Department continues to grow and develop. Development in the City has increased as San Bernardino is one of the remaining affordable areas in the Inland Empire. The City has also received funds from the American Recovery Act that will help stimulate economic growth in the area. The City has appropriated for the Department, approximately \$3 million from the American Recovery Act funds, to fund the Department's Lead Service Lateral capital project. Additionally, the Department was approved for a State Revolving Funds loan from the State Water Resource Control Board in May of 2022 and a federal grant from the Bureau of Reclamation and FEMA for designated capital projects. Development within the City continues, which has resulted in several new projects for the Department.

The Department adopted a balanced budget for Fiscal Year 2024-2025. The Fiscal Year 2024-2025 budget takes into consideration rising operational expenses, inflation, and funding our capital program to address aging infrastructure. Additional details regarding the Department's budget can be found on the Department's website. Questions or requests for information regarding the Adopted Budget should be directed to the Finance Department. The Department completed a rate study and a cost-of-service study for the water and sewer treatment. As a result of the study the water Board adopted a four-year rate increase for the water and sewer funds effective April 1, 2022. The remaining increases are effective annually starting July 1, 2022, through July 1, 2025. With the last year of the rate increase starting July 1, 2025, the Department will initiate a request for proposal for a new rate study aimed to be completed and in effect for fiscal year 2027.

Contacting the Department's Director of Finance

This financial report is designed to provide our customers and creditors with a general overview of the Department's finances and to demonstrate the Department's accountability for the money it receives. If you have questions about this report or need additional financial information, please contact the Department's finance department at (909) 453-6009.

BASIC FINANCIAL STATEMENTS

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CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Statement of Net Position
June 30, 2025

	Water	Sewer	Total
ASSETS			
Current assets:			
Cash and investments	\$ 43,039,858	\$ 58,697,598	\$ 101,737,456
Receivables:			
Accounts, net	7,090,088	5,243,476	12,333,564
Accrued interest	324,990	482,529	807,519
Leases	211,681	-	211,681
Due from other entities	2,553,620	79,997	2,633,617
Inventories	1,602,680	-	1,602,680
Prepaid expenses	232,396	460,943	693,339
Total current assets	55,055,313	64,964,543	120,019,856
Noncurrent:			
Leases	3,054,762	-	3,054,762
Investment in joint venture - RIX	-	19,026,271	19,026,271
Restricted assets:			
Net OPEB asset	3,388,293	3,020,432	6,408,725
Cash and investments:			
Restricted for capital	2,531,867	8,017	2,539,884
Investments:			
Restricted for consent decree	26,172,408	-	26,172,408
Accrued interest - consent decree	124,205	-	124,205
Prepaid Insurance - consent decree	14,686,896	-	14,686,896
Capital assets:			
Land and easements	5,837,963	17,603,413	23,441,376
Construction in progress	58,714,981	50,213,606	108,928,587
Capital assets - being depreciated/amortized, net	183,439,031	77,465,002	260,904,033
Total noncurrent assets	297,950,406	167,336,741	465,287,147
Total assets	353,005,719	232,301,284	585,307,003
DEFERRED OUTFLOWS OF RESOURCES			
Pension-related	6,594,668	6,262,943	12,857,611
OPEB-related	2,162,031	1,927,303	4,089,334
Total deferred outflows of resources	8,756,699	8,190,246	16,946,945
LIABILITIES			
Current liabilities:			
Accounts payable	8,109,250	5,420,242	13,529,492
Related parties payable	1,965,482	1,728,379	3,693,861
Accrued compensation	869,175	782,105	1,651,280
Claims payable	3,965,089	2,040,905	6,005,994
Current portion of compensated absences	1,884,180	822,738	2,706,918
Current portion of bonds, leases, and subscriptions	1,100,000	855,000	1,955,000
Accrued interest	799,222	472,717	1,271,939
Total current liabilities	18,692,398	12,122,086	30,814,484
Noncurrent liabilities:			
Consumer deposits	2,449,436	-	2,449,436
Compensated absences	471,045	205,684	676,729
Unearned revenue - consent decree	40,983,509	-	40,983,509
Bonds, leases and subscriptions	44,191,281	28,212,134	72,403,415
Net pension liability	35,406,379	33,625,360	69,031,739
Total noncurrent liabilities	123,501,650	62,043,178	185,544,828
Total liabilities	142,194,048	74,165,264	216,359,312
DEFERRED INFLOWS OF RESOURCES			
OPEB-related	3,672,169	3,273,527	6,945,696
Lease-related	3,011,630	-	3,011,630
Total deferred inflows of resources	6,683,799	3,273,527	9,957,326
NET POSITION			
Net investment in capital assets	204,647,326	114,911,364	319,558,690
Restricted for postemployment benefits	3,388,293	3,020,432	6,408,725
Unrestricted	4,848,952	45,120,943	49,969,895
Total net position	\$ 212,884,571	\$ 163,052,739	\$ 375,937,310

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Statement of Revenues, Expenses and Changes in Net Position
For the Year Ended June 30, 2025

	Water	Sewer	Interfund Eliminations	Total
OPERATING REVENUES				
Sales and service charges	\$ 50,163,378	\$ 44,511,354	\$ (684,060)	\$ 93,990,672
Other operating revenues	379,135	1,084,288	-	1,463,423
Total operating revenues	50,542,513	45,595,642	(684,060)	95,454,095
OPERATING EXPENSES				
Administration and customer service	11,080,475	7,905,078	(228,956)	18,756,597
Utility administration	1,714,760	668,811	(2,440)	2,381,131
Sewer collection and lift stations	-	2,919,242	-	2,919,242
Plant operations	10,733,466	14,046,652	(289,530)	24,490,588
Maintenance	3,757,074	5,281,012	(144,625)	8,893,461
Environmental control	-	691,159	-	691,159
Distribution	7,132,610	-	-	7,132,610
Engineering and water quality	3,494,437	1,849,607	(18,509)	5,325,535
General, administration and overhead	2,228,830	6,248,285	-	8,477,115
Depreciation and amortization	8,726,491	4,596,972	-	13,323,463
Total operating expenses	48,868,143	44,206,818	(684,060)	92,390,901
Operating income (loss)	1,674,370	1,388,824	-	3,063,194
NONOPERATING REVENUES (EXPENSES)				
Investment income	1,990,514	1,914,250	-	3,904,764
Rental income	353,483	-	-	353,483
Noncapital grant funds	9,106,142	-	-	9,106,142
Interest expense and fiscal charges	(1,728,231)	(1,136,264)	-	(2,864,495)
Gain (loss) on disposal of capital assets	2,716,329	(54,801)	-	2,661,528
Other	414,711	67,489	-	482,200
Total nonoperating revenues (expenses)	12,852,948	790,674	-	13,643,622
Income (loss) before capital contributions	14,527,318	2,179,498	-	16,706,816
CAPITAL CONTRIBUTIONS				
Acquisition fees	1,725,331	-	-	1,725,331
Capacity fees	1,753,520	1,601,407	-	3,354,927
Capital contributions	4,930,104	1,913,672	-	6,843,776
Total capital contributions	8,408,955	3,515,079	-	11,924,034
Change in net position	22,936,273	5,694,577	-	28,630,850
Net position-beginning	190,557,355	157,604,293	-	348,161,648
Restatement - change in accounting principle	(609,057)	(246,131)	-	(855,188)
Net position-beginning, as restated	189,948,298	157,358,162	-	347,306,460
Net position-ending	\$ 212,884,571	\$ 163,052,739	\$ -	\$ 375,937,310

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Statement of Cash Flows
For the Year Ended June 30, 2025

	Water	Sewer	Total
CASH FLOWS FROM OPERATING ACTIVITIES			
Receipts from customers	\$ 49,044,226	\$ 46,204,410	\$ 95,248,636
Payments to suppliers and service providers	(25,349,127)	(29,933,806)	(55,282,933)
Payments to employees for salaries and benefits	(15,965,112)	(13,248,375)	(29,213,487)
Net cash provided by (used for) operating activities	7,729,987	3,022,229	10,752,216
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES			
Consent Decree Insurance Drawdowns	1,693,655	-	1,693,655
Grants and contributions	9,917,043	-	9,917,043
Net cash provided by (used for) noncapital financing activities	11,610,698	-	11,610,698
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES			
Capital contributions	3,478,851	1,601,407	5,080,258
Acquisition and construction of capital assets	(38,274,229)	(29,206,233)	(67,480,462)
Principal paid on capital debt	(1,061,994)	(810,000)	(1,871,994)
Interest paid on capital debt	(1,949,163)	(1,159,542)	(3,108,705)
Proceeds from sales of assets	2,650,000	-	2,650,000
Net cash provided by (used for) capital and related financing activities	(35,156,535)	(29,574,368)	(64,730,903)
CASH FLOWS FROM INVESTING ACTIVITIES			
Interest on investments	1,544,555	3,154,762	4,699,317
Lease proceeds	232,194	-	232,194
Purchase of investments	(1,723,756)	-	(1,723,756)
Net cash provided by (used for) investing activities	52,993	3,154,762	3,207,755
Net increase (decrease) in cash and cash equivalents	(15,762,857)	(23,397,377)	(39,160,234)
Cash and cash equivalents-beginning	61,334,582	82,102,992	143,437,574
Cash and cash equivalents-ending	\$ 45,571,725	\$ 58,705,615	\$ 104,277,340

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Statement of Cash Flows
For the Year Ended June 30, 2025

	<u>Water</u>	<u>Sewer</u>	<u>Total</u>
RECONCILIATION OF OPERATING INCOME (LOSS) TO NET CASH PROVIDED BY (USED FOR) OPERATING ACTIVITIES			
Operating income (loss)	\$ 1,674,370	\$ 1,388,824	\$ 3,063,194
Adjustments to reconcile operating income (loss) to net cash provided by (used for) operating activities:			
Depreciation/amortization expense	8,726,491	4,596,972	13,323,463
Residual nonoperating revenue and expenses	414,711	-	414,711
(Increase) decrease in accounts receivable	(845,507)	608,768	(236,739)
(Increase) decrease in inventories	(62,802)	-	(62,802)
(Increase) decrease in prepaid expenses	167,909	148,335	316,244
(Increase) decrease in net OPEB asset	(1,957,873)	(1,745,306)	(3,703,179)
Increase (decrease) in accounts payable	1,519,681	(3,746,539)	(2,226,858)
Increase (decrease) in accrued liabilities	186,261	137,572	323,833
Increase (decrease) in deposits payable	(1,067,491)	109,559	(957,932)
Increase (decrease) in compensated absences	810,334	410,745	1,221,079
Increase (decrease) in claims and judgments	(2,021,440)	937,281	(1,084,159)
Increase (decrease) in net pension liability	185,343	176,018	361,361
Total adjustments	6,055,617	1,633,405	7,689,022
Net cash provided by (used for) operating activities	\$ 7,729,987	\$ 3,022,229	\$ 10,752,216
SCHEDULE OF NON-CASH NONCAPITAL, CAPITAL, AND INVESTING ACTIVITIES			
Unrealized gain/(loss) on fair value of investments	\$ 392,014	\$ 1,019,113	\$ 1,411,127
Unrealized gain/(loss) on investments in joint ventures	-	1,472,861	1,472,861
Contributions of capital assets	4,930,104	1,913,672	6,843,776
Amortization on bond discount/(premium)	(197,638)	(6,403)	(204,041)
Retainage payable related to capital assets	571,594	1,303,524	1,875,118

NOTE 1: REPORTING ENTITY AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Organization and Operations of the Reporting Entity

The San Bernardino Municipal Water Department (Department) is governed under the Charter of the City of San Bernardino (City). A Water Board appointed by the Mayor and approved by City Council, has Charter defined powers, with full authority for administration of the water utility and delegated authority for the sewer treatment utility. The Department has served the community since 1905.

B. Basis of Accounting and Measurement Focus

The Department reports its activities as enterprise funds, which are used to account for operations that are financed and operated in a manner similar to a private business enterprise, where the intent of the Department is that the costs (including depreciation) of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges. Revenues and expenses are recognized on an accrual basis. Revenues are recognized in the accounting period in which they are earned, and expenses are recognized in the period incurred, regardless of when the related cash flow takes place.

Operating revenues, such as charges for services (water sales, sewer services and water services) result from exchange transactions associated with the principal activity of the Department. Exchange transactions are those in which each party receives and gives up equal values. Nonoperating revenues, such as property taxes and investment income, result from nonexchange transactions or ancillary activities in which the Department gives (receives) value without directly receiving (giving) equal value in exchange.

When both restricted and unrestricted resources are available for use, the Department uses restricted resources and then unrestricted resources.

The major funds of the Department are described below:

- **Water Utility Fund** – The Water Utility Enterprise Fund (Water Utility) is used to account for the operations of the Department's water system and related revenues.
- **Sewer Utility Fund** – The Sewer Utility Enterprise Fund (Sewer Utility) is used to account for the operations of the City's wastewater treatment system and collection system and related revenues.

Administrative and engineering services are provided by the Water Utility to the Sewer.

C. Financial Reporting

The Department's basic financial statements are presented in conformance with the provisions of Governmental Accounting Standards Board (GASB) Statement No. 34, "Basic Financial Statements – and Management's Discussion and Analysis – for State and Local Governments" (GASB No. 34). This statement established revised financial reporting requirements for state and local governments throughout the United States for the purpose of enhancing the understandability and usefulness of financial reports.

GASB Statement No. 34 and its related GASB pronouncements provide for a revised view of financial information and restructure the format of financial information provided prior to its adoption. A statement of net position replaces the balance sheet and reports assets, liabilities, and the difference between them as net position, not equity. A statement of revenues, expenses and changes in net position replaces both the income statement and the statement of changes in retained earnings and contributed capital. GASB Statement No. 34 also requires that the statement of cash flows be prepared using the direct method. Under the direct method, cash flows from operating activities are presented by major categories.

NOTE 1: REPORTING ENTITY AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

D. Assets, Liabilities and Net Position

1. Use of Estimates

The preparation of the basic financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, and disclosures of contingent assets and liabilities at the date of the financial statements, and the reported changes in net position during the reporting period. Actual results could differ from those estimates.

2. Cash and Investments

For the purpose of the statement of cash flows, cash and cash equivalents include highly liquid investments (including restricted assets) with a maturity of three months or less when purchased.

Investments are reported in the accompanying balance sheet at fair value, except for certain certificates of deposit and investment contracts that are reported at cost as they are not transferable and have terms that are not affected by changes in market interest rates.

Changes in fair value that occur during a fiscal year are recognized as investment income reported for that fiscal year. Investment income includes interest earnings, changes in fair value and any gains or losses realized upon the liquidation of investments.

3. Fair Value Measurements

Certain assets and liabilities are required to be reported at fair value. The fair value framework provides a hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements). The three levels of fair value hierarchy are described as follows:

Level 1 - Inputs to the valuation methodology are unadjusted quoted prices for identical assets or liabilities in active markets.

Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly and fair value is determined through the use of models or other valuation methodologies including:

- Quoted prices for similar assets or liabilities in active markets.
- Quoted prices for identical or similar assets or liabilities in markets that are inactive.
- Inputs other than quoted prices that are observable for the asset or liability.
- Inputs that are derived principally from or corroborated by observable market data by correlation or other means.

Level 3 - Inputs to the valuation methodology are unobservable and significant to the fair value measurement. These unobservable inputs reflect the Department's own assumptions about the inputs market participants would use in pricing the asset or liability (including assumptions about risk). These unobservable inputs are developed based on the best information available in the circumstances and may include the Department's own data.

4. Accounts Receivable

Customer or trade receivables are shown net of an allowance for uncollectible accounts based on historical and management estimates. Transactions between funds that are representative of lending or borrowing arrangements outstanding at the end of the fiscal year are referred to as "interfund receivables / payables" or "advances to/from" other funds. All interfund transactions are eliminated for financial reporting.

NOTE 1: REPORTING ENTITY AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

5. Inventory

Materials and supplies inventory consist primarily of water meters, pipes and pipefittings for construction and repair to the Department's water transmission and distribution system and items necessary for maintenance at the sewer treatment facilities. Inventory is valued at cost using a weighted average method. Inventory items are charged to expense at the time that individual items are withdrawn from inventory or consumed.

Water inventory is stated at its purchase cost using the first in, first out method. Inventory is recorded when purchased and expensed at the time the inventory is consumed.

6. Prepaid Expense and Deposit

Certain payments to vendors reflect costs or deposits applicable to future accounting periods and are recorded as prepaid items in the basic financial statements.

7. Capital Assets and Intangible Right-to-Use Assets

Capital assets acquired or constructed are capitalized at historic cost. Department policy has set the capitalization threshold for reporting capital assets at \$25,000 and a life expectancy of at least 3 years. Overhead is capitalized at the rate of 28.9% of labor and benefits, 10% of material and supplies and 2% of significant contracts. Intangible right-to-use assets are defined by the Department as assets with an estimated useful life in excess of 3 years and with an initial, individual value of \$25,000 or more. Depreciation and amortization are recorded on a straight-line basis over the estimated useful lives of the assets as follows:

Source of supply plant	8 to 50 years
Disposal plant and interceptor lines	35 to 50 years
Other facilities (shops, leasehold & yards)	5 to 25 years
Tools, office equipment & communications	4 to 20 years
Computer equipment	3 to 5 years
Automotive and fleet equipment	3 to 15 years
Intangible right-to-use assets	Shorter of the useful life of the underlying asset or the term of the arrangement

8. Compensated Absences

Department policy is to permit employees to accumulate a limited amount of earned vacation and sick leave. Various negotiation groups have different sell-back and cash out options. Additionally, cash out options upon retirement or death of the employee vary based on the negotiation group. Employees' vacation and sick leave benefits are recognized as a liability of the Department.

9. Restricted Assets and Amounts Payable from Restricted Assets

Amounts shown as restricted assets have been restricted by bond indentures or are to be used for specified purposes based on contract provisions, such as bonded debt service. Certain liabilities which are currently payable have been classified as current liabilities payable from restricted assets since assets have been restricted for their payment.

NOTE 1: REPORTING ENTITY AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

10. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position and additions to/deductions from the fiduciary net position have been determined on the same basis as they are reported by the Department. For this purpose, benefit payments (including refunds of employee contributions) are recognized when currently due and payable in accordance with the benefit terms. Investments are reported at fair value.

GASB 68 requires that the reported results must pertain to liability and asset information within certain defined time limits. For this report, the following periods are used:

Valuation Date	June 30, 2023
Measurement Date	June 30, 2024
Measurement Period	July 1, 2023 to June 30, 2024

11. Other Post-Employment Benefits (OPEB)

For purposes of measuring the net OPEB asset, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB income/expense, information about the fiduciary net position of the Department's plan (OPEB Plan), the assets of which are held by US Bank in an irrevocable trust, and additions to/deductions from the OPEB Plan's fiduciary net position have been determined by an independent actuary. For this purpose, benefit payments are recognized when currently due and payable in accordance with the benefit terms. Investments are reported at fair value.

Generally accepted accounting principles require that the reported results must pertain to liability and fiduciary net position information within certain defined time limits. For this report, the following timeframes are used:

Valuation Date	June 30, 2024
Measurement Date	June 30, 2024
Measurement Period	July 1, 2023 to June 30, 2024

12. Deferred Outflows/Inflows

In addition to assets, the Statement of Net Position will sometimes report a separate section of deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents consumption of net assets that applies to a future period and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The Department has two items that qualify for reporting in this category: the deferred outflows related to pensions and OPEB.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to future periods and will not be recognized as inflow of resources (revenue) until that time. The Department has three items that qualify for reporting in this category, of which two relate to deferred inflows related to pensions and OPEB. Lastly, leases related items for the amount of the lease receivable plus any lease payments related to future periods, less any lease incentives paid to, or on behalf of, the lessee at or before the commencement of the lease term.

13. Interfund Eliminations

The interfund eliminations column represents entries made to eliminate interfund income and expenditure transactions between the water utility fund and the sewer utility fund for the purposes of consolidated financial statements.

NOTE 1: REPORTING ENTITY AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

14. Net Position

The financial statements utilize a net position presentation. Net position is categorized as follows:

- **Net Investment in Capital Assets** – This component of net position consists of capital assets, net of accumulated depreciation/amortization and reduced by any debt outstanding against the acquisition, construction, or improvement of those assets.
- **Restricted Net Position** – This component of net position consists of constraints placed on net position use through external constraints imposed by creditors, grantors, contributors, or laws or regulations of other governments or constraints imposed by law through constitutional provisions or enabling legislation.
- **Unrestricted Net Position** – This component of net position consists of net position that does not meet the definition of restricted or net investment in capital assets.

15. Capital Contributions

Contributions in aid of construction represent cash and utility plant additions contributed to the Department by property owners or developers desiring services that require capital expenditures or capacity commitment. In accordance with Governmental Accounting Standards Board Statement No. 33, the capital contributions are recorded on the Statement of Revenues, Expenses and Changes in Net position.

16. Budgetary Policies

The Department adopts an annual budget for planning, control, and evaluation purposes. Budgetary control and evaluation are affected by comparisons of actual revenues and expenses with planned revenues and expenses for the period. Encumbrance accounting is not used to account for commitments related to outstanding contracts for construction and services.

17. Leases

Lessee: The Department is a lessee for a noncancellable lease of a building. The Department recognizes a lease liability and an intangible right-to-use lease asset (lease asset) in the statement of net position. The Department recognizes lease liabilities with an initial, individual value of \$25,000 or more.

At the commencement of a lease, the Department initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs. Subsequently, the lease asset is amortized on a straight-line basis over its useful life. Key estimates and judgments related to leases include how the Department determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

- The Department uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the Department uses its estimated incremental borrowing rate as the discount rate for leases.
- The lease term includes the non-cancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the Department is reasonably certain to exercise.

NOTE 1: REPORTING ENTITY AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

The Department monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease assets and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Lessor: The Department is a lessor for various noncancellable leases of land. The Department recognizes a lease receivable and a deferred inflow of resources in the statement of net position.

At the commencement of a lease, the Department initially measures the lease receivable at the present value of payments expected to be received during the lease term. Subsequently, the lease receivable is reduced by the principal portion of lease payments received. The deferred inflow of resources is initially measured as the initial amount of the lease receivable, adjusted for lease payments received at or before the lease commencement date. Subsequently, the deferred inflow of resources is recognized as revenue over the life of the lease term.

Key estimates and judgments include how the Department determines (1) the discount rate it uses to discount the expected lease receipts to present value, (2) lease term, and (3) lease receipts.

- The Department uses its estimated incremental borrowing rate as the discount rate for leases.
- The lease term includes the non-cancellable period of the lease. Lease receipts included in the measurement of the lease receivable are composed of fixed payments from the lessee.

The Department monitors changes in circumstances that would require a remeasurement of its lease, and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

18. Subscription-Based Information Technology Arrangements

The Department is a subscriber for a noncancellable subscription of information technology services. The Department recognizes subscription liability and an intangible right-to-use subscription asset (subscription asset) in the government-wide financial statements. The Department recognizes subscription liabilities with an initial, individual value of \$25,000 or more.

At the commencement of a subscription, the Department initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the subscription liability is reduced by the principal portion of subscription payments made. The subscription asset is initially measured as the initial amount of the subscription liability, adjusted for subscription payments made at or before the subscription commencement date, plus certain initial direct costs. Subsequently, the subscription asset is amortized on a straight-line basis over its useful life. Key estimates and judgments related to subscriptions include how the Department determines (1) the discount rate it uses to discount the expected subscription payments to present value, (2) subscription term, and (3) subscription payments.

- The Department uses the interest rate charged by the vendor as the discount rate. When the interest rate charged by the vendor is not provided, the Department uses its estimated incremental borrowing rate as the discount rate for subscriptions.
- The subscription term includes the noncancellable period of the subscription. Subscription payments included in the measurement of the subscription liability are composed of fixed payments that the Department is reasonably certain to exercise.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 1: REPORTING ENTITY AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

The Department monitors changes in circumstances that would require a remeasurement of its subscriptions and will remeasure the subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Subscription assets are reported with other capital assets and subscription liabilities are reported with long-term debt on the statement of net position.

NOTE 2: CASH AND INVESTMENTS

Cash and investments are reported in the accompanying statement of net position as follows:

	Water Utility	Sewer Utility	Total
Cash and investments	\$ 43,039,858	\$ 58,697,598	\$ 101,737,456
Restricted investments			
Restricted for Consent Decree	26,172,408	-	26,172,408
Proceeds from bond issuances	2,531,867	8,017	2,539,884
Total cash and investments	<u>71,744,133</u>	<u>58,705,615</u>	<u>130,449,748</u>

Cash and investments at June 30, 2025, consisted of the following:

	Water Utility	Sewer Utility	Total
Cash and investments	\$ 7,000	\$ -	\$ 7,000
Deposits with financial institutions	16,546,275	3,415,773	19,962,048
Investments	26,486,583	55,281,825	81,768,408
Restricted investments	28,704,275	8,017	28,712,292
Total cash and investments	<u>71,744,133</u>	<u>58,705,615</u>	<u>130,449,748</u>

A. Investments Authorized by the California Government Code and the Department's Investment Policy

The table below identifies the investment types that are authorized by the Department and Consent Decree (see note 12) in accordance with the California Government Code (or the City's investment policy, where more restrictive). The table also identifies certain provisions of the California Government Code (or the City's investment policy, where more restrictive) that address interest rate risk, credit risk, and concentration of credit risk. Due to its long-term nature, the Consent Decree has been explicitly exempted from maximum maturity requirements of the California Government Code, which limits maturity of most investments to five years. All other aspects of the Consent Decree investment policy are consistent with the City's investment policy.

Investment Type*	Maximum Maturity		Maximum % of Portfolio	Maximum % of Portfolio
	Department	Consent Decree		
US treasury	5 years	5 years	None	None
US agency	5 years	5 years	None	None
Bankers acceptances	180 days	180 days	40%	40%
Commercial paper	270 days	270 days	25%	25%
Negotiable CDs	5 years	5 years	30%	30%
Medium-term notes	5 years	5 years	30%	30%
Money market mutual funds	N/A	N/A	20%	20%
Mortgage pass through	5 years	5 years	20%	20%
Local Agency Investment Fund	N/A	N/A	\$40,000,000	\$40,000,000
Guaranteed investment	N/A	N/A	None	None

NOTE 2: CASH AND INVESTMENTS (CONTINUED)

B. Investments Authorized by Debt Agreements

Investments of debt proceeds held by bond trustees are governed by provisions of the debt agreements, rather than the general provisions of the California Government Code or the City's investment policy. Investments authorized for funds held by bond trustee include, U.S. Treasury Obligations, U.S. Government Sponsored Enterprise Securities, the California Local Agency Investment Fund, Guaranteed Investment Contracts, Commercial Paper, Local Agency Bonds, Banker's Acceptance and Money Market Mutual Funds. There are no limitations on the maximum amount that can be invested in one issuer, maximum percentage allowed or the maximum maturity of an investment, except for the maturity of Banker's Acceptance which are limited to one year.

C. Custodial Credit Risk

Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party. The California Government Code requires that a financial institution secure deposit made by a state or local governmental unit by pledging securities in an undivided collateral pool held by a depository regulated under state law.

The fair value of the pledged securities in the collateral pool must equal at least 110% of the total amount deposited by the public agencies. California law also allows financial institutions to secure the Department's deposits by pledging first trust deed mortgage notes having a value of 150% of the secured public deposits.

For investment identified herein as held by bond trustee, the bond trustee selects the investment under the terms of the applicable trust agreement, acquires the investment, and holds the investment on behalf of the reporting government.

D. Investment in State Investment Pool

The Department is a voluntary participant in the Local Agency Investment Fund (LAIF) that is regulated by the California Government Code under the oversight of the Treasurer of the State of California. The fair value of the Department's investment in this pool is reported in the accompanying financial statements at amounts based upon the Department's pro-rata share of the fair value provided by LAIF for the entire LAIF portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by LAIF, which are recorded on an amortized cost basis. LAIF is not rated by a nationally recognized statistical rating organization, but as stated previously, it is regulated by the California Government Code, and is therefore exempt from rating requirements.

E. Interest Rate Risk

Interest rate risk is the possibility that fluctuations in market interest rates will adversely affect the fair value of an investment. The longer the maturity of an investment, the greater the sensitivity of its fair value will be to changes in market interest rates. One method that the Department uses to manage its exposure to interest rate risk is by purchasing a combination of shorter term and longer-term investments and by timing cash flows from maturities so that a portion of the portfolio matures or comes close to maturity evenly over time as necessary to provide requirements for cash flow and liquidity needed for operations.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 2: CASH AND INVESTMENTS (CONTINUED)

Information about the sensitivity of the fair values of the Department's investments to market interest rate fluctuations is provided by the following table that shows the distribution of the Department's investments by maturity date:

Investment Type	Maturities				Total
	Less than 12 months	13-24 months	25-60 months	More than 60 months	
U.S. Agency Securities	\$ 2,949,943	\$ 2,031,822	\$ -	\$ -	\$ 4,981,765
U.S. Treasuries	971,111	5,444,194	21,538,387	-	27,953,692
Medium Term Corporate Notes	198,442	2,311,337	4,647,259	-	7,157,038
Non - U.S. Government and Supranational Bonds	1,445,532	-	1,284,926	-	2,730,458
Asset Backed Securities	13,431	159,999	400,678	-	574,108
Municipal Bonds	-	-	470,169	-	470,169
Money Market Funds	105,051	-	-	-	105,051
Local Agency Investment Fund	37,796,127	-	-	-	37,796,127
Consent Decree:					
U.S. Treasuries	-	270,102	12,480,299	-	12,750,401
U.S. Agency Asset Backed Securities	133,224	921,685	3,033,161	136,312	4,224,382
U.S. Agency Collateralized Mortgage Obligations	-	-	-	40,290	40,290
U.S. Agency Securities	693,070	-	-	-	693,070
Corporate Notes	1,090,240	687,549	2,705,430	-	4,483,219
Certificates of Deposit	702,479	-	-	-	702,479
Bank Note	-	-	357,269	-	357,269
Asset Backed Securities	-	1,104,625	1,680,046	-	2,784,671
Money Market Funds	136,627	-	-	-	136,627
Investments with Fiscal Agent:					
Money Market Funds	2,539,884	-	-	-	2,539,884
Total Investments	\$ 48,775,161	\$ 12,931,313	\$ 48,597,624	\$ 176,602	\$ 110,480,700

F. Credit Risk

Credit risk is the possibility that the issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. Presented below is the minimum rating required by (where applicable) the California Government Code, the Department's investment policy, or debt agreements, and the actual rating as of year-end for each investment type.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 2: CASH AND INVESTMENTS (CONTINUED)

Investment Type	Minimum Rating	Rating	Total
U.S. Agency Securities	None	AA+	\$ 4,981,765
U.S. Treasuries	Exempt	Exempt	27,953,692
Medium Term Corporate Notes	AA-	AA+	7,157,038
Non - U.S. Government and Supranational Bonds	AA	AAA	2,730,458
Asset Backed Securities	AA-	AAA	574,108
Municipal Bonds	AA-	AA	470,169
Money Market Funds	None	AAA	105,051
Local Agency Investment Fund	Not Rated	Not Rated	37,796,127
Consent Decree:			
U.S. Treasuries	No Limit	Exempt	12,750,401
U.S. Agency Asset Backed Securities	No Limit	AA+	4,224,382
U.S. Agency Collateralized Mortgage Obligations	AA	AA+	40,290
U.S. Agency Securities	No Limit	AA+	693,070
Corporate Notes	A+	AAA	4,483,219
Certificates of Deposit	A	AA-	702,479
Bank Note	A	A+	357,269
Asset Backed Securities	AA	AAA	2,784,671
Money Market Funds	AA+	AA+	136,627
Investments with Fiscal Agent:			
Money Market Funds	AA+	AA+	2,539,884
Total Investments			<u>\$ 110,480,700</u>

G. Fair Value Measurement

The Department categorizes its fair value investments within the fair value hierarchy established by generally accepted accounting principles. The Department has the following recurring fair value measurements as of June 30, 2025:

Investment Type	Level 1	Level 2	Total
U.S. Agency Securities	\$ -	\$ 4,981,765	\$ 4,981,765
U.S. Treasuries	-	27,953,692	27,953,692
Medium Term Corporate Notes	-	7,157,038	7,157,038
Non - U.S. Government and Supranational Bonds	-	2,730,458	2,730,458
Asset Backed Securities	-	574,108	574,108
Consent Decree:			
U.S. Treasuries	12,750,401	-	12,750,401
U.S. Agency Asset Backed Securities	-	4,224,382	4,224,382
U.S. Agency Collateralized Mortgage Obligations	-	40,290	40,290
U.S. Agency Securities	-	693,070	693,070
Corporate Notes	-	4,483,219	4,483,219
Certificates of Deposit	-	702,479	702,479
Bank Note	-	357,269	357,269
Asset Backed Securities	-	2,784,671	2,784,671
Subtotal - investments subject to fair value	<u>\$ 12,750,401</u>	<u>\$ 56,682,441</u>	69,432,842
Investments not subject to fair value			41,047,858
			<u>\$ 110,480,700</u>

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 3: CAPITAL ASSETS

A. Water Utility Fund

Capital asset activity for the water utility for the fiscal year ended June 30, 2025:

	Balance July 1, 2024	Additions	Deletions	Transfers	Balance June 30, 2025
Capital assets, not being depreciated or amortized:					
Land and easements	\$ 5,869,462	\$ -	\$ 31,499	\$ -	\$ 5,837,963
Construction-in-progress	25,803,315	39,630,235	-	(6,718,569)	58,714,981
Total capital assets, not being depreciated or amortized:	31,672,777	39,630,235	31,499	(6,718,569)	64,552,944
Capital assets, being depreciated or amortized:					
Water rights, wells, and pumping	105,757,409	239,772	(620,137)	114,104	105,491,148
Distribution system	185,239,166	1,471,111	(4,156,846)	5,107,101	187,660,532
Buildings, plants, and stores	6,942,613	-	(25,235)	-	6,917,378
Field and office equipment	11,377,306	1,863,215	(659,126)	1,497,364	14,078,759
Lease assets					
Buildings	155,243	-	(155,243)	-	-
Subscription assets					
Software	246,706	-	(246,706)	-	-
Total capital assets, being depreciated or amortized:	309,718,443	3,574,098	(5,863,293)	6,718,569	314,147,817
Less: accumulated depreciation and amortization:					
Water rights, wells, and pumping	(54,105,286)	(3,042,150)	620,100	-	(56,527,336)
Distribution system	(62,864,969)	(4,650,897)	4,156,846	-	(63,359,020)
Buildings, plants, and stores	(2,323,382)	(171,315)	25,235	-	(2,469,462)
Field and office equipment	(8,212,717)	(799,377)	659,126	-	(8,352,968)
Lease assets					
Buildings	(143,302)	(11,941)	155,243	-	-
Subscription assets					
Software	(195,895)	(50,811)	246,706	-	-
Total accumulated depreciation and amortization:	(127,845,551)	(8,726,491)	5,863,256	-	(130,708,786)
Total capital assets, being depreciated or amortized, net	181,872,892	(5,152,393)	(37)	6,718,569	183,439,031
Total capital assets	\$ 213,545,669	\$ 34,477,842	\$ 31,462	\$ -	\$ 247,991,975

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 3: CAPITAL ASSETS (CONTINUED)

B. Sewer Utility Fund

Capital asset activity for the sewer utility for the fiscal year ended June 30, 2025:

	Balance July 1, 2024	Additions	Deletions	Transfers	Balance June 30, 2025
Capital assets, not being depreciated or amortized:					
Land and easements	\$ 17,603,413	\$ -	\$ -	\$ -	\$ 17,603,413
Construction-in-progress	31,343,003	29,859,487	-	(10,988,884)	50,213,606
Total capital assets, not being depreciated or amortized:	48,946,416	29,859,487	-	(10,988,884)	67,817,019
Capital assets, being depreciated or amortized:					
Pumping	3,958,057	-	(9,073)	-	3,948,984
Pipelines	27,018,595	-	-	1,948,847	28,967,442
Buildings, plants, and stores	181,029,083	242,090	(1,428,669)	7,161,265	187,003,769
Field and office equipment	13,510,298	1,018,328	(979,007)	1,878,772	15,428,391
Total capital assets, being depreciated or amortized:	225,516,033	1,260,418	(2,416,749)	10,988,884	235,348,586
Less: accumulated depreciation and amortization:					
Pumping	(2,910,765)	(54,964)	9,073	-	(2,956,656)
Pipelines	(10,840,617)	(545,205)	-	-	(11,385,822)
Buildings, plants, and stores	(131,948,890)	(3,189,212)	1,440,110	-	(133,697,992)
Field and office equipment	(9,973,351)	(807,591)	937,828	-	(9,843,114)
Total accumulated depreciation and amortization:	(155,673,623)	(4,596,972)	2,387,011	-	(157,883,584)
Total capital assets, being depreciated or amortized, net	69,842,410	(3,336,554)	(29,738)	10,988,884	77,465,002
Total capital assets	\$ 118,788,826	\$ 26,522,933	\$ (29,738)	\$ -	\$ 145,282,021

NOTE 4: LONG-TERM LIABILITIES

Changes in long-term liabilities for the year ended June 30, 2025, are as follows:

	Balance July 1, 2024	Additions	Deletions	Balance June 30, 2025	Current Portion	Long-term Portion
Water Utility						
Bonds payable						
2016 Water Revenue Bond	\$ 42,125,000	\$ -	\$ 1,050,000	\$ 41,075,000	\$ 1,100,000	\$ 39,975,000
Premium	4,413,919	-	197,638	4,216,281	-	4,216,281
Total bonds payable	46,538,919	-	1,247,638	45,291,281	1,100,000	44,191,281
Leases	11,994	-	11,994	-	-	-
Total Water Utility	\$ 46,650,913	\$ -	\$ 1,259,632	\$ 45,291,281	\$ 1,100,000	\$ 44,191,281
Sewer Utility						
Bonds payable						
2016 Sewer Revenue Bond	\$ 29,740,000	\$ -	\$ 810,000	\$ 28,930,000	\$ 855,000	\$ 28,075,000
Premium	143,537	-	6,403	137,134	-	137,134
Total Sewer Utility	\$ 29,883,537	\$ -	\$ 816,403	\$ 29,067,134	\$ 855,000	\$ 28,212,134

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 4: LONG-TERM LIABILITIES (CONTINUED)

A. 2016 Water Revenue Bonds

On November 3, 2016, the Water Utility issued \$48,225,000 Water Revenue Bonds to finance the acquisition and construction of certain water system capital improvements and to refund outstanding obligations. The Water Revenue Bonds have interest rates ranging from 3% to 5% with maturities through August 2046. The bonds are secured by revenues pledged for the payment of debt service. In addition, a provision that in the event of default, the bond trustee may take whatever action, at law or in equity, as may appear necessary or desirable to collect the payments of the debt.

Debt service requirements on the 2016 Water Revenue Bond are as follows:

Year Ending June 30	Principal	Interest	Total
2026	\$ 1,100,000	\$ 1,890,638	\$ 2,990,638
2027	1,160,000	1,834,138	2,994,138
2028	1,215,000	1,774,763	2,989,763
2029	1,280,000	1,712,388	2,992,388
2030	1,345,000	1,646,763	2,991,763
2031-2035	7,600,000	7,358,081	14,958,081
2036-2040	9,505,000	5,451,500	14,956,500
2041-2045	12,155,000	2,797,475	14,952,475
2046-2047	5,715,000	267,635	5,982,635
Totals	<u>\$ 41,075,000</u>	<u>\$ 24,733,381</u>	<u>\$ 65,808,381</u>

The Water Utility Fund is required to maintain net revenues adequate to cover 110% of annual debt service. Net Revenues means the Revenues for the Fiscal Year less Operation and Maintenance Costs for such Fiscal Year. Debt service coverage for the Water Utility Fund for the year ended June 30, 2025, was as follows:

Gross revenue	\$ 50,542,513
Operating expenses	(48,868,143)
Add back: depreciation/amortization expense	8,726,491
Non-operating income	14,581,179
Less: gain on disposal	(2,716,329)
Net revenues	<u>\$ 22,265,711</u>
Annual debt service	<u>\$ 2,994,388</u>
Actual coverage ratio	<u>7.44</u>

B. 2016 Sewer Revenue Bonds

On December 8, 2016, the Sewer Utility issued \$34,445,000 of Sewer Treatment Revenue Bonds to finance the acquisition and construction of additional capital improvements to the sewer utility. The Sewer Treatment Revenue Bonds have interest rates ranging from 3% to 5% with maturities through August 2046. The bonds are secured by revenues pledged for the payment of debt service. In addition, a provision that in the event of default, the bond trustee may take whatever action, at law or in equity, as may appear necessary or desirable to collect the payments of the debt.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 4: LONG-TERM LIABILITIES (CONTINUED)

Debt service requirements on the 2016 Sewer Revenue Bond are as follows:

Year Ending June 30	Principal	Interest	Total
2026	\$ 855,000	\$ 1,113,150	\$ 1,968,150
2027	895,000	1,069,400	1,964,400
2028	935,000	1,033,000	1,968,000
2029	965,000	1,003,897	1,968,897
2030	995,000	972,028	1,967,028
2031-2035	5,590,000	4,290,113	9,880,113
2036-2040	6,685,000	3,096,600	9,781,600
2041-2045	8,230,000	1,605,400	9,835,400
2046-2047	3,780,000	152,500	3,932,500
Totals	<u>\$ 28,930,000</u>	<u>\$ 14,336,088</u>	<u>\$ 43,266,088</u>

The Sewer Utility Fund is required to maintain net revenues adequate to cover 110% of annual debt service. Gross revenue is defined as Operating Revenue combined with non-operating revenue. Debt service coverage for the Sewer Utility Fund for the year ended June 30, 2025, was as follows:

Gross revenue	\$ 45,595,642
Operating expenses	(44,206,818)
Add back: depreciation/amortization expense	4,596,972
Non-operating income	1,926,938
Less: gain on disposal	<u>54,801</u>
Net revenues	<u>\$ 7,967,535</u>
Annual debt service	<u>\$ 1,964,775</u>
Actual coverage ratio	<u>4.06</u>

NOTE 5: LEASES AND SUBSCRIPTION-BASED INFORMATION TECHNOLOGY ARRANGEMENTS

A. Leases Receivable and Deferred Inflows of Resources

The Department leases land to various companies for installation of cellular towers and fiberoptic communications. The terms range from 27 months to 268 months as of the contract commencement date. The Department also leases land to Little League International to operate a sports complex. The term is 231 months as of the contract commencement date. Some leases have extension options ranging from 6 months to 20 years. as of June 30, 2025, the total combined value of the lease receivable is \$3,266,443, the total combined value of the short-term lease receivable is \$211,681, and the combined value of the deferred inflow of resources is \$3,011,630.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 5: LEASES AND SUBSCRIPTION-BASED INFORMATION TECHNOLOGY ARRANGEMENTS (CONTINUED)

The principal and interest payments that are expected to maturity are as follows:

Year Ending June 30	Principal	Interest	Total
2026	\$ 211,681	\$ 49,755	\$ 270,413
2027	231,942	46,412	278,353
2028	243,636	42,896	286,532
2029	253,024	39,202	292,226
2030	265,554	35,349	300,903
2031 - 2035	1,276,248	114,148	1,390,396
2036 - 2040	579,457	42,011	621,468
2041 - 2044	204,901	5,372	201,299
Totals	<u>\$ 3,266,443</u>	<u>\$ 375,145</u>	<u>\$ 3,641,590</u>

NOTE 6: COMPENSATED ABSENCES

Compensated absences represent the amount of the accumulated vacation, which is expected to be liquidated with future resources. There is no fixed payment schedule for unpaid compensated absences; see Note 1 for additional information.

During the year ended June 30, 2025 the Department implemented GASB 101 *Compensated Absences*. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. The implementation of the GASB resulted in a prior period adjustment that is presented in note 13.

	Balance July 1, 2024, as restated	Net Change	Balance June 30, 2025	Current Portion	Long-term Portion
Water Utility Fund	\$ 2,153,948	\$ 201,277	\$ 2,355,225	\$ 1,884,180	\$ 471,045
Sewer Utility Fund	863,808	164,614	1,028,422	822,738	205,684
Total	<u>\$ 3,017,756</u>	<u>\$ 365,891</u>	<u>\$ 3,383,647</u>	<u>\$ 2,706,918</u>	<u>\$ 676,729</u>

NOTE 7: PENSION PLAN

The Department is considered to be part of the City of San Bernardino PERS pension plan, therefore all related information included in this note refers to the City as a whole unless specifically indicating otherwise. All qualified permanent and probationary employees are eligible to participate in the City's Miscellaneous Plan, an agent multiple-employer defined benefit pension plan administered by the California Public Employees' Retirement System (CalPERS), which acts as a common investment and administrative agent for its participating member employers. Benefit provisions under the Plan are established by State statute and Local Government resolution. CalPERS issues publicly available reports that include a full description of the pension plans regarding benefit provisions, assumptions and membership information that can be found on the CalPERS website. Additional disclosures and required supplementary information regarding the City's plan can be found in the City's audited financial statements.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 7: PENSION PLAN (CONTINUED)

A. Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of credited service, equal to one year of full-time employment. The Plans' provisions and benefits in effect at the measurement date, are summarized as follows:

	Miscellaneous		
	Prior to October 3, 2011	On or after October 4, 2011	On or after January 1, 2013
Hire date			
Benefit formula	2.7% @ 55	2% @ 55	2% @ 62
Benefit vesting schedule	5 years service	5 years service	5 years service
Benefit payments	monthly for life	monthly for life	monthly for life
Retirement age	50-55	50-55	52-67
Monthly benefits, as a % of eligible compensation	2.0% to 2.7%	2.0% to 2.7%	1.0% to 2.5%
Required employee contribution rates	11.68%	11.68%	11.68%
Required employer contribution rates	7.75%	7.75%	7.75%

B. Employees Covered

As of the June 30, 2024 valuation date, the following employees were covered by the benefit terms of the Plan:

	City-Wide	Department
Inactive employees or beneficiaries currently receiving benefits	1,577	170
Inactive employees entitled to but not yet receiving benefits	1,163	35
Active employees	718	273
Total	3,458	478

C. Contribution Description

Section 20814(c) of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employers are determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through CalPERS' annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. Employer contribution rates may change if plan contracts are amended. Payments made by the employer to satisfy contribution requirements that are identified by the pension plan terms as plan member contribution requirements are classified as plan member contributions. Plan contributions for the year equaled \$8,879,997.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 7: PENSION PLAN (CONTINUED)

D. Actuarial Methods and Assumptions used to determine Total Pension Liability

The June 30, 2023 valuation was rolled forward to determine the June 30, 2024 total pension liability, based on the following actuarial methods and assumptions:

Actuarial Cost Method	Entry Age Normal Cost Method
Actuarial Assumptions	
Discount rate	6.90%
Inflation	2.30%
Salary increases	Varies by entry age and services
Mortality rate table	Derived using CalPERS' membership data for all funds
Post-retirement benefit increase	The lesser of contract COLA or 2.30% until purchasing power protection allowance floor on purchasing power applies, 2.30% thereafter

The mortality table used was developed based on CalPERS-specific data. The probabilities of mortality are based on the *2021 CalPERS Experience Study and Review of Actuarial Assumptions*. Mortality rates incorporate full generational mortality improvement using 80% of Scale MP-2020 published by the Society of Actuaries. For more details on this table, please refer to the 2021 experience study report from November 2021 that can be found on the CalPERS website.

E. Long-Term Expected Rate of Return

The long-term expected rate of return on pension plan investments was determined using a building-block method in which expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations. Using historical returns of all of the funds' asset classes, expected compound (geometric) returns were calculated over the next 20 years using a building-block approach. The expected rate of return was then adjusted to account for assumed administrative expenses of 10 Basis points. The expected real rates of return by asset class are as follows:

Asset Class	Assumed Asset Allocation	Real Return ^{1, 2}
Global Equity Cap-weighted	30.00%	4.54%
Global Equity Non-Cap-weighted	12.00%	3.84%
Private Equity	13.00%	7.28%
Treasury	5.00%	0.27%
Mortgage-backed Securities	5.00%	0.50%
Investment Grade Corporates	10.00%	1.56%
High Yield	5.00%	2.27%
Emerging Market Debt	5.00%	2.48%
Private Debt	5.00%	3.57%
Real Assets	15.00%	3.21%
Leverage	-5.00%	-0.59%

(1) An expected price inflation of 2.30% used for this period.

(2) Figures are based on the 2021-22 Asset Liability Management study.

NOTE 7: PENSION PLAN (CONTINUED)

F. Discount Rate

The discount rate used to measure the total pension liability was 6.90%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members will be made at the current member contribution rates and that contributions from employers will be made at statutorily required rates, actuarially determined. Based on those assumptions, the Plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

G. Amortization of Deferred Outflows and Deferred Inflows of Resources

Under GASB Statement No. 68, gains and losses related to changes in total pension liability and fiduciary net position are recognized in pension expense systematically over time.

The first amortized amounts are recognized in pension expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to pensions and are to be recognized in future pension expense.

The amortization period differs depending on the source of the gain or loss:

Net difference between projected and actual earnings on pension plan investments	5-year straight-line amortization
All other amounts	Straight-line amortization over the expected average remaining service lifetime (EARSL) of all members that are provided with benefits (active, inactive, and retired) as of the beginning of the measurement period.

The EARSL for the plan for the measurement period ending June 30, 2024, is 2.3 years, which was obtained by dividing the total service years of 8,078 (the sum of remaining service lifetimes of the active employees) by 3,458 (the total number of participants: active, inactive, and retired). Inactive employees and retirees have remaining service lifetimes equal to 0. Total future service is based on the members' probability of decrementing due to an event other than receiving a cash refund.

H. Changes in Net Pension Liability

The following table shows the Department's proportionate share of the net pension liability of the City's plan over the measurement period:

	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (c) = (a) - (b)
Balance at 6/30/2024 (Measurement Date 6/30/2023)	\$ 242,663,139	\$ 173,634,400	\$ 69,028,739
Balance at 6/30/2025 (Measurement Date 6/30/2024)	250,626,749	181,595,010	69,031,739
Net changes during 2023-2024	\$ 7,963,610	\$ 7,960,610	\$ 3,000

The net pension liability of the plan is measured as of June 30, 2024, and the total pension liability for the plan used to calculate the net pension liability was determined by an actuarial valuation of June 30, 2023 rolled forward to June 30, 2024, using standard update procedures. The proportion of the net pension liability was based on a projection of the Department's long-term share of contributions to the pension plan relative to the projected contributions of all participating employers, actuarially determined. The Department's proportionate share of the net pension liability for the plan as of June 30, 2025 and 2024 was 36 percent.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 7: PENSION PLAN (CONTINUED)

I. Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of the Plan as of the Measurement Date, calculated using the discount rate of 6.90 percent, as well as what the net pension liability would be if it were calculated using a discount rate that is 1 percentage-point lower (5.90 percent) or 1 percentage-point higher (7.90 percent) than the current rate:

	Discount Rate -1% (5.90%)	Current Discount Rate (6.90%)	Discount Rate +1% (7.90%)
Plan's Net Pension Liability			
-Department Allocation			
(36%)	\$ 100,941,497	\$ 69,031,739	\$ 42,714,794

J. Pension Expense and Deferred Outflows and Deferred Inflows of Resources Related to Pensions

For the fiscal year ended June 30, 2025, the Department recognized pension expense of \$9,241,358.

As of June 30, 2025, the Department reports other amounts for the Plan as deferred outflow and deferred inflow of resources related to pensions as follows:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to the measurement date	\$ 8,879,997	\$ -
Differences between expected and actual experience	1,329,214	-
Net difference between projected and actual earnings on pension plan investments	2,648,400	-
Total	<u>\$ 12,857,611</u>	<u>\$ -</u>

The \$8,879,997 reported as deferred outflows of resources related to employer contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2026. That and other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized as pension expense as follows:

Year Ended June 30,	Deferred Outflows/ (Deferred Inflows) of Resources
2026	\$ 832,572
2027	4,811,288
2028	(729,913)
2029	(936,333)
Total	<u>\$ 3,977,614</u>

NOTE 7: PENSION PLAN (CONTINUED)

K. Pension Plan Fiduciary Net Position

The plan fiduciary net position disclosed in the GASB 68 accounting valuation report may differ from the plan assets reported in the funding actuarial valuation report due to several reasons. First, for the accounting valuations, CalPERS must keep items such as deficiency reserves, fiduciary self-insurance and OPEB expense included as assets. These amounts are excluded for rate setting purposes in the funding actuarial valuation. In addition, differences may result from early Annual Comprehensive Financial Report closing and final reconciled reserves.

NOTE 8: OTHER POST-EMPLOYMENT BENEFITS (OPEB)

A. Plan Description

The Department provides health benefits to all qualifying retirees and their spouses in accordance with Memorandums of Understanding under various labor agreements. The other post-employment benefits plan is a single-employer plan administered by the Department.

B. Employees Covered

Employees are eligible for retiree health benefits if they retire from the Department on or after age 50 with at least 10, 12, or 15 years of service, depending on bargaining unit, and are eligible for a PERS pension. As of the June 30, 2023 valuation date, the following current and former employees were covered by the benefit terms under the OPEB Plan:

Active employees electing medical coverage	212
Active employees waiving medical coverage	28
Retirees electing medical coverage	136
Retirees with only non-medical OPEB coverage	28
Total	404

C. Contributions

The contribution requirements of plan members and the Department are established and may be amended by the Board. The required contribution is based on projected pay-as-you-go financing requirements, with an additional amount to prefund benefits as may be determined annually by the Board. The Department has established an irrevocable trust to which pre-funding contributions are made. For the fiscal year ended June 30, 2025, the Department's contributions were \$1,948,530, which include the implicit subsidy of \$668,652.

D. Net OPEB Liability/(Asset)

The Department's net OPEB liability/(asset) was measured as of June 30, 2024, and the total OPEB liability used to calculate the net OPEB liability/(asset) was determined by an actuarial valuation dated June 30, 2024, based on the following actuarial methods and assumptions:

Actuarial Cost Method:	Entry Age Normal
Discount Rate	6.75%
Inflation	2.50%
Mortality	Based on assumptions for Public Agency Miscellaneous members published in the 2021 CalPERS Experience Study. These tables include generational mortality improvement using 80% of scale MP-2020.
Healthcare Trend Rate	8.6% for not Medicare eligible and 6.3% for Medicare eligible for FY 2025, gradually decreasing over several decades to an ultimate rate of 3.9% in FY 2076 and later years.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 8: OTHER POST-EMPLOYMENT BENEFITS (OPEB) (CONTINUED)

The long-term expected rate of return on OPEB plan investments was determined using a building-block method in which expected future real rates of return (expected returns, net of OPEB plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Target Allocation	Expected Real Rate of Return
Fixed income	40%	1.47%
Global Equity	60%	4.82%
Assumed long-term rate of inflation		2.75%
Expected long-term net rate of return		6.25%
Total	100%	

E. Discount Rate

The discount rate used to measure the total OPEB liability was 6.25 percent. The projection of cash flows used to determine the discount rate assumed that the Department's contributions will be made at rates equal to the actuarially determined contribution rates. Based on those assumptions, the OPEB plan's fiduciary net position was projected to be available to make all projected OPEB payments for current active and inactive employees and beneficiaries. Therefore, the long-term expected rate of return on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability.

F. Changes in the Net OPEB Liability/(Asset)

The changes in the net OPEB liability/(asset) are as follows:

	Increase (Decrease)		
	Total OPEB Liability (a)	Plan Fiduciary Net Position (b)	Net OPEB Liability (Asset) (c) = (a) - (b)
Balance at 6/30/2024 (Measurement Date 6/30/2023)	\$ 34,351,738	\$ 38,917,823	\$ (4,566,085)
Changes for the year			
Service cost	833,949	-	833,949
Interest	2,140,288	-	2,140,288
Differences between expected and actual experience	1,788,888	-	1,788,888
Employer contributions	635,216	1,882,172	(1,246,956)
Net investment income	-	5,369,928	(5,369,928)
Benefit payments	(1,882,172)	(1,882,172)	-
Administrative expense	-	(11,119)	11,119
Net changes	3,516,169	5,358,809	(1,842,640)
Balance at 6/30/2025 (Measurement Date 6/30/2024)	\$ 37,867,907	\$ 44,276,632	\$ (6,408,725)

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 8: OTHER POST-EMPLOYMENT BENEFITS (OPEB) (CONTINUED)

G. Sensitivity of the Net OPEB Liability/(Asset) to Changes in the Discount Rate

The following presents the net OPEB liability/(asset) of the Department if it were calculated using a discount rate that is one percentage point lower or one percentage point higher than the current rate, for measurement period ended June 30, 2024:

	Discount Rate -1% (5.75%)	Current Discount Rate (6.75%)	Discount Rate +1% (7.75%)
Net OPEB Liability/(Asset)	\$ (1,536,252)	\$ (6,408,725)	\$ (10,461,526)

H. Sensitivity of the Net OPEB Liability to Changes in the Health Care Cost Trend Rates

The following presents the net OPEB liability of the Department if it were calculated using health care cost trend rates that are one percentage point lower or one percentage point higher than the current rate, for measurement period ended June 30, 2024:

	1% Decrease	Current Rate	1% Increase
Net OPEB Liability/(Asset)	\$ (10,747,169)	\$ (6,408,725)	\$ (1,091,470)

I. Recognition of Deferred Outflows and Deferred Inflows of Resources

Gains and losses related to changes in total OPEB liability and fiduciary net position are recognized in OPEB expense systematically over time.

Amounts are first recognized in OPEB expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to OPEB and are to be recognized in future OPEB expenses.

The recognition period differs depending on the source of the gain or loss. The net difference between projected and actual earnings on OPEB plan investments are amortized over 5 years, while all other deferred outflows and inflows are amortized over the average expected remaining service life of plan participants.

J. OPEB Income and Deferred Outflows/Inflows of Resources Related to OPEB

For the fiscal year ended June 30, 2025, the Department recognized OPEB income of \$1,656,107. As of fiscal year ended June 30, 2025, the Department reported deferred outflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
OPEB contributions subsequent to the measurement date	\$ 1,948,530	\$ -
Differences between expected and actual experience	1,593,446	3,751,103
Changes in assumptions	547,358	2,001,789
Net difference between projected and actual earnings on OPEB plan investments	-	1,192,804
Total	\$ 4,089,334	\$ 6,945,696

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 8: OTHER POST-EMPLOYMENT BENEFITS (OPEB) (CONTINUED)

The \$1,948,530 reported as deferred outflows of resources related to contributions subsequent to the measurement date will be recognized as a reduction of the net OPEB liability for the subsequent fiscal year. Other amounts reported as deferred outflows of resources related to OPEB will be recognized as expense as follows:

Year Ended June 30,	Deferred Outflows/ (Deferred Inflows) of Resources
2026	\$ (2,222,425)
2027	(1,035,361)
2028	(1,345,213)
2029	(961,801)
2030	345,224
Thereafter	414,684
Total	<u>\$ (4,804,892)</u>

NOTE 9: JOINT VENTURES

A. Colton/San Bernardino Regional Tertiary Treatment and Water Reclamation Authority

On August 2, 1994, the City of San Bernardino, through the Department formed a joint powers authority with the City of Colton to construct, operate, use, and maintain tertiary wastewater treatment, disposal, and water reclamations systems, including the Regional Rapid Infiltration and Extraction Facility (RIX). This authority is governed by a separate board consisting of four members: two appointed by the City of San Bernardino through the Department's BOWC and two appointed by the City Council of the City of Colton. Construction of RIX was administered by the Santa Ana Watershed Project Authority and was completed during 1996. Administration and operation were turned over at that time. The cities of San Bernardino and Colton each have a measurable equity interest in the net position of RIX in proportion to its contributions, which are based on an 80% / 20% split, respectively. Substantially all of the assets of RIX are in the form of capital assets. Annual revenues (in the form of contributions from the two member cities) are equal to annual expenses. The Department's equity interest in this joint venture has been reported as an investment in joint venture in the accompanying statement of net position. Below are the most currently available condensed audited financial statements of RIX as of June 30, 2025. The RIX complete financial statements may be obtained at City of San Bernardino Municipal Water Department at: 1350 South E. Street, San Bernardino, California 92418.

Assets	\$ 25,433,492
Liabilities	<u>1,548,216</u>
Net position	<u>\$ 23,885,276</u>
Revenues	\$ 5,761,193
Expenses	<u>7,520,875</u>
Change in net position	(1,759,682)
Net position-beginning	25,675,132
Restatement - change in accounting principal	<u>(30,174)</u>
Net position-beginning, as restated	<u>25,644,958</u>
Net position-ending	<u>\$ 23,885,276</u>

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 9: JOINT VENTURES (CONTINUED)

B. West End Water Development, Treatment and Conservation Joint Powers Authority

On August 15, 1990, the City of San Bernardino joined the West End Water Development, Treatment and Conservation Joint Powers Authority (WEJPA) as a financing vehicle for construction of water facilities. A three-member board consisting of one representative from each agency's governing body governs the WEJPA. This joint venture was formed to provide a financing vehicle for the three member agencies. This joint venture is currently inactive.

NOTE 10: COMMITMENTS AND CONTINGENCIES

A. Risk Management

Risk management activities are recorded in all utility funds. Significant losses are covered by insurance for all major events except workers' compensation, for which the Department retains risk of loss in conjunction with the City of San Bernardino's risk management program for workers compensation. Settlement amounts have not exceeded insurance coverage for the current year or the prior three years. Insurance coverage has been increased over the past several years.

The Department records an estimated liability for workers' compensation. Claims liabilities are based on estimates of the ultimate cost of reported claims and an estimate for claims incurred but not reported based upon historical experience. Workers' compensation claims liability is not discounted.

The following are the changes in approximate aggregate liabilities for the years ended June 30, 2023 and June 30, 2025. During the past three fiscal (claims) years, the Department had no settlements or judgments that exceeded pooled or insured coverage. There were also no significant reductions in pooled or insured liability coverage in fiscal year 2024.

<u>Claims Liabilities</u>	<u>Water Utility</u>	<u>Sewer Utility</u>	<u>Total</u>
Balance, June 30, 2023	\$ 7,051,451	\$ 1,304,226	\$ 8,355,677
Claims and changes in estimates	(1,064,922)	(200,602)	(1,265,524)
Balance, June 30, 2024	5,986,529	1,103,624	7,090,153
Claims and changes in estimates	(2,021,440)	937,281	(1,084,159)
Balance, June 30, 2025	<u>\$ 3,965,089</u>	<u>\$ 2,040,905</u>	<u>\$ 6,005,994</u>

B. Litigation

In the ordinary course of operations, the Department is subject to claims and litigation from outside parties. After consultation with legal counsel, the Department believes the ultimate outcome of such matters, if any, will not materially affect its financial condition.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 10: COMMITMENTS AND CONTINGENCIES (CONTINUED)

C. Construction Commitments

The following schedule summarizes the major contractual commitments as of June 30, 2025:

CIP Project Name/Description	CIP Project #	PO/Contract Amount	Expenditures to date	Remaining Commitments
SBMWD WATER FACILITIES RELOCATION PHASE I PROJECT	420241790	24,644,242	20,943,500	3,700,742
TERTIARY TREATMENT SYSTEM PROJECT	420231723	14,475,363	13,992,231	483,132
EAST INFLUENT SIPHON-PHASES I AND II PROJECT	420231822	12,487,990	12,054,636	433,355
SYSTEMWIDE 2 PIPELINE REPLACEMENT	4202418462	11,600,977	1,647,330	9,953,647
VERDEMONT 2300 PZ EAST WATER FACILITIES PROJECT	420231811	10,627,336	6,883,120	3,744,216
AMI IMPLEMENTATION PROGRAM PHS 1	420241835	3,332,468	1,178,316	2,154,152
2021/2022 CONSULTANT CM AND INSPECTION SVCS	420221761	2,154,843	1,357,993	796,850
CM and Inspection Services for Verdemont 2300 PZ	420241795	1,437,311	728,744	708,567
GPA AGREEMENT WITH ITRON, INC FOR AMI PROJECT	420231792	1,317,743	642,775	674,968
INTERACTIVE O&M MANUAL PROJECT	420231783	1,250,000	1,065,086	184,914
ENG DSGN MULTIPLE CIP WATER PIPELINE REPLACEMENTS	420231777	1,074,638	877,101	197,537
Digester B Replacement	420201728	1,042,254	418,519	623,736
DESIGN OF TERTIARY TREATMENT SYSTEM	420181686	998,896	475,473	523,423
ENG SVS FOR MTN ZONE PUMP ST AND TRNSMSN MN RPLC	420241801	451,107	299,354	151,753
Verdemont East 2300 PZ Water System Design Updates	420181691	415,950	181,008	234,942
MOUNTAIN PRESSURE ZONE MAIN REPLACEMENTS PHASE II	420221645	311,054	131,699	179,355
Eng Design Svc for 58th & 59th St Area Pipeline	420251848	196,576	34,040.6	162,535

NOTE 11: FEDERAL AND STATE GRANTS

Grant funds received by the Department are subject to audit by the grantor agencies. Such an audit could lead to requests for reimbursements to the grantor agencies for expenditures disallowed under the terms of the grant. The management of the Department believes that such disallowances, if any, would not be significant. The Department produces a Single Audit that details the use of grant and Consent Decree funds (see note 12 for information on the Consent Decree).

NOTE 12: CONSENT DECREE

In 1996, the City of San Bernardino filed a complaint against the United States of America, Department of the Army to recover damages, response costs and other available remedies relating to contamination alleged to have originated at a World War II army installation known as Camp Ono. In March 2005, the United States District Court, Central Division entered judgment, in the form of a consent decree, in the matter of City of San Bernardino v. United States of America. The Consent Decree settles the City's and the State's claims arising from the groundwater contamination allegedly caused by the Army. The Consent Decree contains a number of provisions obligating the City (through the Department) to operate and maintain the Newmark Groundwater Superfund Site (Site). The Site consists of two operable units, the Newmark Operable Unit, and the Muscoy Operable Unit. The Newmark Operable Unit was declared operational and functional in 1998. The Muscoy Operable unit was declared operational and functional in 2007.

The Consent Decree provided for a payment of \$69 million from the Army to the City for performance of the work outlined in the Consent Decree. Upon acceptance of the Consent Decree, the Department received title to all facilities constructed by the United States Environmental Protection Agency (EPA) of the Site and agreed to operate and maintain the groundwater extraction and treatment system for a period of 50 years. The \$69 million payment consisted of \$59 million for operations and maintenance and \$10 million for the construction of certain capital facilities that would be required in the future; the funds are subject to strict limitations, contained in the Consent Decree, as to how the money may be spent.

Pursuant to the Consent Decree, \$10 million, including interest earned, has been set aside to be used only for (i) funding construction of treatment and directly related transmission systems that expand the Department's capacity to deliver potable water and (ii) funding work performed by the Department to complete construction of the Muscoy Operable Unit extraction system. These capital facility funds may not be used for costs incurred to operate, maintain, repair, or retrofit components of the site extraction of treatment systems constructed by EPA.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Notes to the Basic Financial Statements
For the Year Ended June 30, 2025

NOTE 12: CONSENT DECREE (CONTINUED)

In March 2006, the Department entered into a Guaranteed Investment Contract with AIG Match Funding Corporation. The Department invested \$16,482,039 of excess Consent Decree funds into an interest-bearing Escrow Fund investment with an interest rate of 4.95% per annum. These funds were invested to pay costs associated with the water facilities defined in the Consent Decree for the years 2035-2056. An additional \$50 million was used to purchase a blended insurance policy to provide a financial vehicle that provides cost gap coverage for the first 30 years of expenses.

The terms of the Guaranteed Investment Contract only provided the Department with the position of a secured creditor with respect to an AIG bankruptcy. As concerns arose regarding AIG's financial credibility, in October 2009, the Department negotiated and accepted a "payout" in the amount of \$18,661,876 which represented the principal and accrued interest as of that date. These funds are currently invested in a diversified portfolio managed by PFM Asset Management and are presented in more detail in Note 3.

NOTE 13: PRIOR PERIOD ADJUSTEMENT

During the current year, the Department implemented GASB Statement No. 101, Compensated Absences. In addition to the value of unused vacation time owed to employees upon separation of employment, the Department now recognizes an estimated amount of sick leave earned as of year-end that will be used by employees as time off in future years as part of the liability for compensated absences. The effects of the change in accounting principle are summarized below in the "Adjustment - GASB 101 Implementation" column in the table below.

	Net Position balance at June 30, 2024 as previously reported	Adjustment GASB 101 Implementation	Net Position balance at June 30, 2024 as reported
Water Utility	\$ 190,557,355	\$ (609,057)	\$ 189,948,298
Sewer Utility	157,604,293	(246,131)	157,358,162
Total	<u>348,161,648</u>	<u>(855,188)</u>	<u>347,306,460</u>

NOTE 14: SUBSEQUENT EVENTS

The Department evaluated subsequent events for recognition and disclosure through October 15, 2025, the date on which these financial statements were available to be issued. Management concluded that no material subsequent events have occurred since June 30, 2025, that required recognition or disclosure in these financial statements.

REQUIRED SUPPLEMENTARY INFORMATION

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CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Schedule of Proportionate Share of Net Pension Liability
As of June 30, for the Last Ten Fiscal Years

Reporting Date ¹ as of June 30,	Proportion of the Net Pension Liability	Proportionate Share of Net Pension Liability	Covered Payroll	Proportionate Share of the Net Pension Liability as a % of Covered Payroll	Plan's Fiduciary Net Position as a % of the Total Pension Liability
2025	36%	\$ 69,031,739	\$ 24,086,933	287%	72%
2024	36%	72,510,649	22,022,839	329%	70%
2023	36%	70,141,831	20,821,422	337%	70%
2022	36%	40,743,630	20,103,974	203%	82%
2021	36%	64,101,577	18,770,894	341%	71%
2020	36%	60,531,689	17,169,126	353%	72%
2019	36%	56,856,346	15,357,635	370%	72%
2018	36%	58,595,075	14,876,739	394%	71%
2017	36%	53,652,216	14,177,779	378%	72%
2016	36%	44,917,863	14,087,004	319%	76%

Notes to Schedule of Proportionate Share of the Net Pension Liability:

Benefit Changes : None

Changes of Assumptions : None

¹ *The proportions and proportionate share of the net pension liability are measured as of one year behind the reporting date. Refer to notes to basic financial statements.*

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Schedule of Changes in Net OPEB Liability (Asset) and Related Ratios
As of June 30, for the Last Ten Fiscal Years¹

	2025	2024	2023	2022
Measurement Date	<u>6/30/2024</u>	<u>6/30/2023</u>	<u>6/30/2022</u>	<u>6/30/2021</u>
TOTAL OPEB LIABILITY				
Service cost	\$ 833,949	\$ 809,659	\$ 984,915	\$ 956,228
Interest on total pension liability	2,140,288	2,066,543	2,336,141	2,240,570
Changes of benefit terms	-	-	-	-
Changes of assumptions	635,216	-	(2,619,432)	-
Difference between expected and actual experience	1,788,888	71,864	(3,119,394)	-
Benefit payments, including refunds of employee contributions	(1,882,172)	(1,702,700)	(1,738,412)	(1,654,270)
Net change in total OPEB liability	3,516,169	1,245,366	(4,156,182)	1,542,528
Total OPEB liability-beginning	<u>34,351,738</u>	<u>33,106,372</u>	<u>37,262,554</u>	<u>35,720,026</u>
Total OPEB liability-ending (a)	<u>37,867,907</u>	<u>34,351,738</u>	<u>33,106,372</u>	<u>37,262,554</u>
PLAN FIDUCIARY NET POSITION				
Contributions-employer	1,882,172	2,331,720	1,738,412	2,737,270
Net investment income	5,369,928	2,970,846	(4,469,586)	7,886,756
Benefit payments, including refunds of employee contributions	(1,882,172)	(1,702,700)	(1,738,412)	(1,654,270)
Administrative expense	(11,119)	(10,161)	(11,068)	(10,052)
Net change in fiduciary net position	5,358,809	3,589,705	(4,480,654)	8,959,704
Plan fiduciary net position-beginning	<u>38,917,823</u>	<u>35,328,118</u>	<u>39,808,772</u>	<u>30,849,068</u>
Plan fiduciary net position-ending (b)	<u>44,276,632</u>	<u>38,917,823</u>	<u>35,328,118</u>	<u>39,808,772</u>
Net OPEB liability/(asset) (a) - (b)	<u>\$ (6,408,725)</u>	<u>\$ (4,566,085)</u>	<u>\$ (2,221,746)</u>	<u>\$ (2,546,218)</u>
Plan fiduciary net position as a percentage of the total OPEB liability	117%	113%	107%	107%
Covered-employee payroll	\$ 26,706,880	\$ 28,172,331	\$ 25,597,944	\$ 21,203,035
Plan net OPEB liability/(asset) as a percentage of covered-employee payroll	-24%	-16%	-9%	-12%

Notes to Schedule of Changes in the Net OPEB Liability and Related Ratios:

Benefit Changes: None

Changes of Assumptions: None

¹ Fiscal year 2018 was the first year of GASB Statement No. 75 implementation; therefore only eight years are shown.

2021	2020	2019	2018
6/30/2020	6/30/2019	6/30/2018	6/30/2017
\$ 1,352,161	\$ 1,312,778	\$ 1,067,080	\$ 1,036,000
2,651,878	2,512,269	2,449,681	2,322,000
-	-	(640,849)	-
(1,784,735)	-	(1,065,369)	-
(6,747,960)	-	523,834	-
(1,658,421)	(1,602,932)	(1,554,389)	(1,118,000)
(6,187,077)	2,222,115	779,988	2,240,000
41,907,103	39,684,988	38,905,000	36,665,000
35,720,026	41,907,103	39,684,988	38,905,000
2,602,421	2,615,932	2,673,389	2,602,000
1,564,423	2,036,956	1,848,262	2,204,000
(1,658,421)	(1,602,932)	(1,554,389)	(1,118,000)
(8,657)	(8,061)	(7,855)	(7,000)
2,499,766	3,041,895	2,959,407	3,681,000
28,349,302	25,307,407	22,348,000	18,667,000
30,849,068	28,349,302	25,307,407	22,348,000
\$ 4,870,958	\$ 13,557,801	\$ 14,377,581	\$ 16,557,000
86%	68%	64%	57%
\$ 19,691,462	\$ 17,981,957	\$ 16,768,495	\$ 19,132,000
25%	75%	86%	87%

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
Schedules of Plan Contributions
As of June 30, for the Last Ten Fiscal Years ¹

Fiscal Year Ending June 30,	Actuarially Determined Contribution	Actual Employer Contributions	Contribution Deficiency (Excess)	Covered/ Covered- Employee Payroll	Contribution as a % of Covered/ Covered Employee Payroll
<u>Pension Plan</u>					
2025	\$ 8,879,997	\$ 8,879,997	-	\$ 26,742,138	33%
2024	7,744,386	7,744,386	-	24,086,933	32%
2023	7,304,613	7,304,613	-	22,022,839	33%
2022	6,656,656	6,656,656	-	20,821,422	32%
2021	6,492,199	6,492,199	-	20,103,974	32%
2020	5,814,288	5,814,288	-	18,770,894	31%
2019	5,251,737	5,251,737	-	17,169,126	31%
2018	4,467,847	4,467,847	-	15,357,635	29%
2017	3,886,888	3,886,888	-	14,876,739	26%
2016	3,607,950	3,607,950	-	14,177,779	25%
<u>Other Post-Employment Benefits Plan</u>					
2025	\$ 925,317	\$ 1,948,530	(1,023,213)	\$ 30,934,538	6%
2024	898,426	1,783,630	(885,204)	26,706,880	7%
2023	1,559,000	2,327,743	(768,743)	28,172,331	8%
2022	1,572,000	1,738,412	(166,412)	25,597,944	7%
2021	1,652,000	2,737,270	(1,085,270)	21,203,035	13%
2020	2,728,000	2,602,421	125,579	19,691,462	13%
2019	2,760,000	2,615,932	144,068	17,981,957	15%
2018	2,592,000	2,673,000	(81,000)	16,768,495	16%

Notes to Schedule of Plan Contributions:

The actuarial methods and assumptions used to set the actuarially determined contributions for fiscal year 2023-24 were derived from the following:

Valuation Date: June 30, 2023 (pension plan); June 30, 2024 (OPEB plan)

Actuarial Cost Method: Entry Age Actuarial Cost Method

Asset Valuation Method: Fair Value of Assets

Inflation: 2.3% (pension plan); 2.5% (OPEB plan)

Salary Increases: Varies by entry age and service

Payroll Growth: 2.8% (pension plan)

Investment Rate of Return: 6.8% (pension plan); 6.25% (OPEB plan)

Retirement Age: Based on 2021 CalPERS Experience Study, available at CalPERS website (pension)

Medical Trend (OPEB): 8.6% for Non-Medicare and 6.3% for Medicare decreasing to an ultimate rate of 3.9% in 2076 and later years.

Mortality: 2021 CalPERS Experience Study (pension); 2021 CalPERS Experience Study (OPEB)

Mortality Improvement (OPEB): 80% of Scale MP-2020

¹ Fiscal year 2018 was the first year of GASB Statement No. 75 implementation; therefore only eight years for the Other Post-Employment Benefits Plan are shown.

STATISTICAL SECTION

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FINANCIAL TRENDS

These schedules contain trend informaton to help the reader understand how the Department's financial performance and well-being have changed over time.

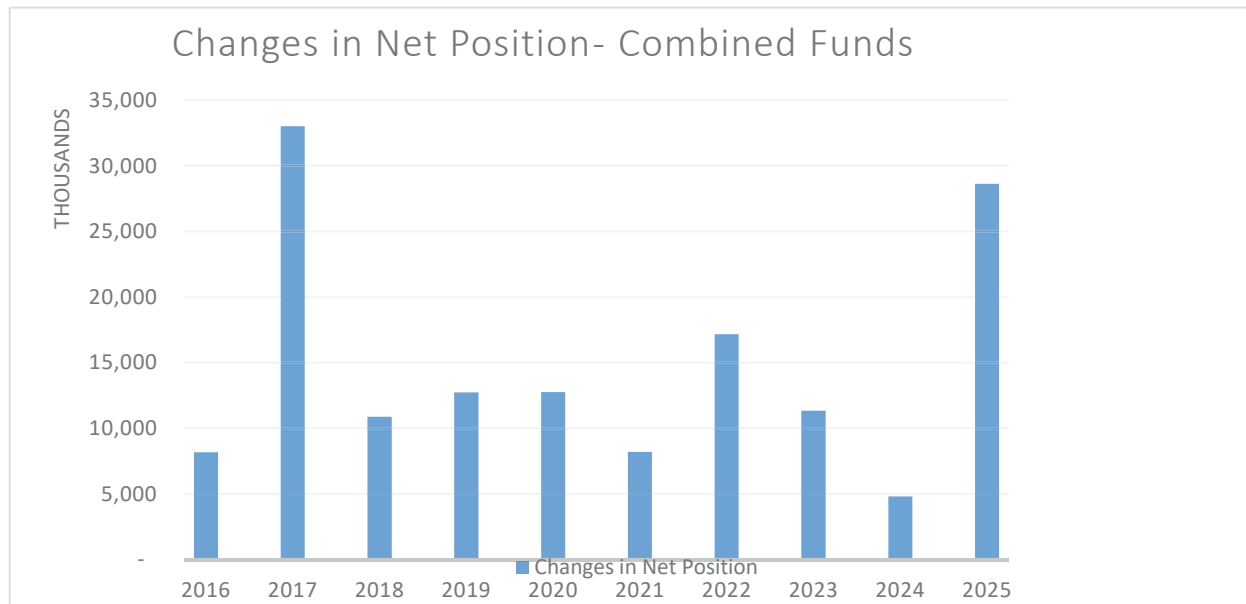
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City of San Bernardino Municipal Water Department
Changes in Net Position
Last Ten Fiscal Years

Fiscal Year Ended	Total Operating Revenue	Total Operating Expense	Operating Income	Total Non-Operating Income (Expense)	Total Contributed Capital	Changes in Net Position
6/30/2016	55,376,650	53,529,824	1,846,826	2,059,111	4,271,325	8,177,262
6/30/2017 *	64,488,587	61,895,872	2,592,715	8,431,207	21,995,016	33,018,938
6/30/2018	76,620,620	68,734,958	7,885,662	(1,872,712)	4,854,784	10,867,734
6/30/2019	77,094,723	66,921,125	10,173,598	(7,553,171)	10,121,344	12,741,771
6/30/2020	78,184,698	70,778,987	7,405,711	748,213	4,604,699	12,758,623
6/30/2021	80,831,467	77,247,428	3,584,039	(1,980,043)	6,605,556	8,209,552
6/30/2022	83,517,341	72,109,935	11,407,406	(2,315,279)	8,071,944	17,164,071
6/30/2023	89,113,376	87,785,516	1,327,860	1,397,918	8,613,085	11,338,863
6/30/2024	92,725,810	103,703,223	(10,977,413)	7,923,929	7,855,349	4,801,865
6/30/2025	95,454,095	92,390,901	3,063,194	13,643,622	11,924,034	28,630,850

*Fiscal Years 2014-2016 contain only the Sewer Treatment and Water Utility Funds. The Sewer Collections Fund was transferred to the Department on May 1, 2017.

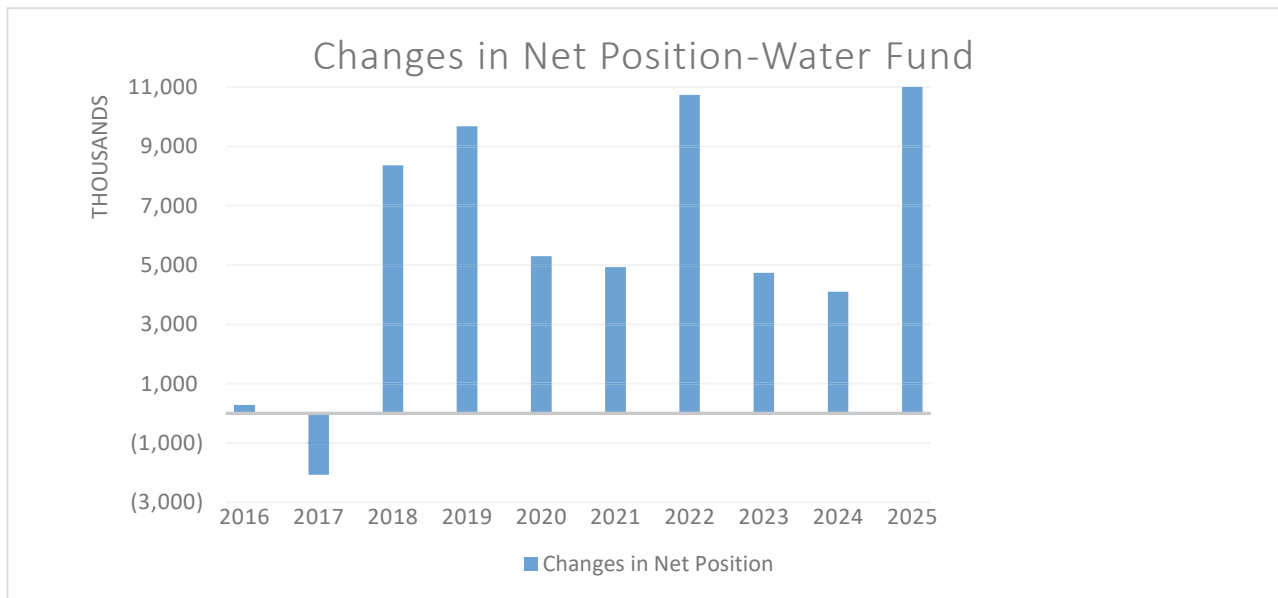
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Water Fund
Changes in Net Position
Last Ten Fiscal Years

Fiscal Year Ended	Total Operating Revenue	Total Operating Expense	Operating Income	Total Non-Operating Income (Expense)	Total Contributed Capital	Changes in Net Position
6/30/2016	30,001,871	34,834,362	(4,832,491)	2,283,230	2,812,192	262,931
6/30/2017	33,358,907	37,074,670	(3,715,763)	(546,280)	2,194,093	(2,067,950)
6/30/2018	38,280,016	34,446,105	3,833,911	1,198,161	3,323,031	8,355,103
6/30/2019	39,099,960	33,995,037	5,104,923	1,829,448	2,737,031	9,671,402
6/30/2020	40,267,376	38,626,151	1,641,225	1,655,628	2,002,637	5,299,490
6/30/2021	42,758,192	42,480,855	277,337	791,527	3,861,010	4,929,874
6/30/2022	43,150,124	37,626,046	5,524,078	483,961	4,718,864	10,726,903
6/30/2023	44,091,833	46,710,892	(2,619,059)	1,380,979	5,976,186	4,738,106
6/30/2024	45,985,090	53,996,580	(8,011,490)	6,977,920	5,130,185	4,096,615
6/30/2025	50,542,513	48,868,143	1,674,370	12,852,948	8,408,955	22,936,273

Source: Department's annual reports

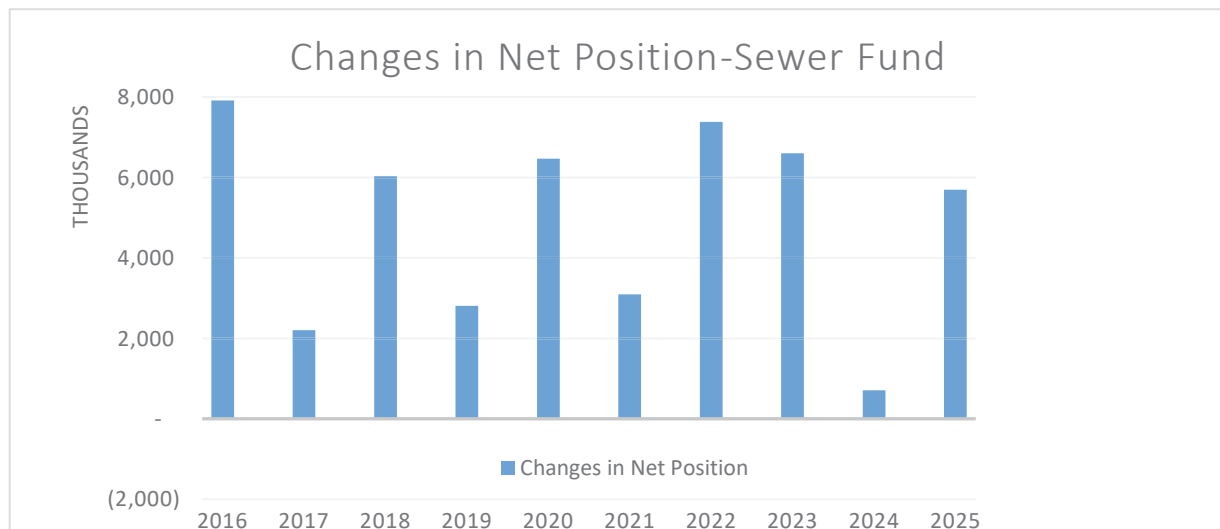


City of San Bernardino Municipal Water Department
Sewer Fund
Changes in Net Position
Last Ten Fiscal Years

Fiscal Year Ended	Total Operating Revenue	Total Operating Expense	Operating Income	Total Non-Operating Income (Expense)	Total Contributed Capital	Changes in Net Position
6/30/2016	25,410,740	18,731,423	6,679,317	(224,119)	1,459,133	7,914,331
6/30/2017	28,612,019	24,139,878	4,472,141	(3,624,658)	1,355,494	2,202,977
6/30/2018	30,733,453	22,697,491	8,035,962	(3,275,704)	1,280,280	6,040,538
6/30/2019	30,546,181	24,866,681	5,679,500	(9,967,309)	7,092,785	2,804,976
6/30/2020	30,397,092	24,648,411	5,748,681	(1,537,179)	2,257,330	6,468,832
6/30/2021	30,361,116	26,986,385	3,374,731	(2,782,481)	2,502,263	3,094,513
6/30/2022	34,171,160	26,794,390	7,376,770	(2,288,006)	2,294,541	7,383,305
6/30/2023 *	45,544,260	41,597,341	3,946,919	16,939	2,636,899	6,600,757
6/30/2024 *	47,385,433	50,351,356	(2,965,923)	946,009	2,725,164	705,250
6/30/2025 *	45,595,642	44,206,818	1,388,824	790,674	3,515,079	5,694,577

Source: Department's annual reports

* The FY 2023 budget has combined the Sewer Treatment Fund and the Sewer Collection Fund into one fund. Now called the Sewer Fund.



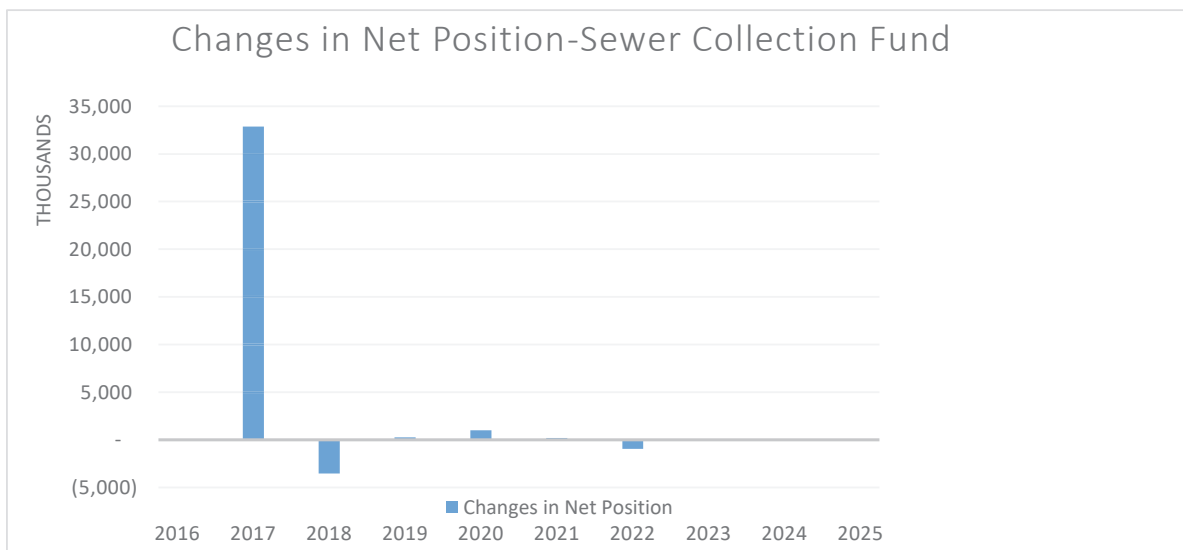
City of San Bernardino Municipal Water Department
Sewer Collection Fund
Changes in Net Position
Last Ten Fiscal Years

Fiscal Year Ended	Total Operating Revenue	Total Operating Expense	Operating Income	Total Non-Operating Income (Expense)	Total Contributed Capital	Changes in Net Position
6/30/2016	n/a	n/a	n/a	n/a	n/a	n/a
6/30/2017 *	2,891,203	1,054,866	1,836,337	12,602,145	18,445,429	32,883,911
6/30/2018	7,682,946	11,667,157	(3,984,211)	204,831	251,473	(3,527,907)
6/30/2019	7,562,097	8,172,922	(610,825)	584,690	291,528	265,393
6/30/2020	7,666,309	7,650,504	15,805	629,764	344,732	990,301
6/30/2021	7,794,418	7,862,447	(68,029)	10,911	242,283	185,165
6/30/2022	6,394,623	7,888,065	(1,493,442)	(511,234)	1,058,539	(946,137)
6/30/2023 **	-	-	-	-	-	-
6/30/2024	-	-	-	-	-	-
6/30/2025	-	-	-	-	-	-

* The Sewer Collection Utility was transferred to the Water Department on May 1, 2017 so prior year data is unavailable.

** The FY 2023 budget has combined the Sewer Treatment Fund and the Sewer Collection Fund into one fund. Now called the Sewer Fund.

Source: Department's annual reports

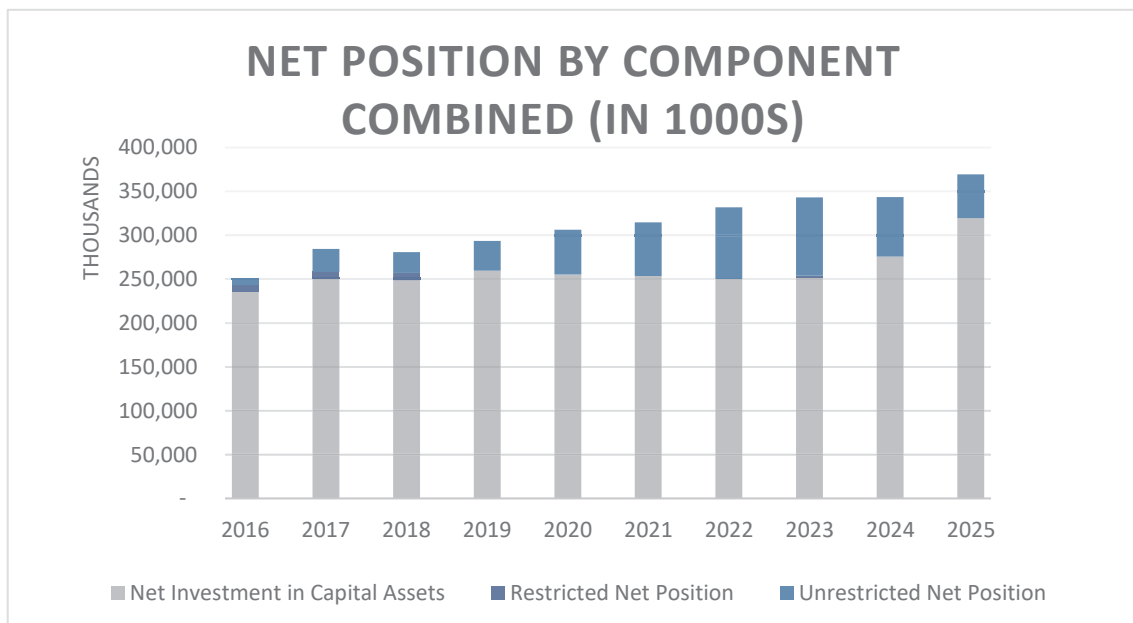


City of San Bernardino Municipal Water Department
Net Position by Component
Last Ten Fiscal Years

Fiscal Year Ended	Net Investment in Capital Assets	Restricted Net Position	Unrestricted Net Position	Total Net Position
6/30/2016	235,670,073	7,814,086	7,890,390	251,374,549
6/30/2017 *	250,399,481	7,944,758	26,049,248	284,393,487
6/30/2018	248,653,963	8,363,037	23,912,311	280,929,311
6/30/2019	259,671,498	-	33,999,894	293,671,392
6/30/2020	255,270,720	-	51,158,985	306,429,705
6/30/2021	253,288,732	-	61,350,525	314,639,257
6/30/2022	250,324,366	-	81,696,554	332,020,920
6/30/2023	251,609,753	2,221,746	89,528,284	343,359,783
6/30/2024	275,842,317	4,566,085	67,753,246	348,161,648
6/30/2025	319,558,690	6,408,725	49,969,895	375,937,310

* Fiscal Years 2014-2016 contain only Sewer Treatment and Water Utility Funds. The Sewer Collections Fund was transferred to the Department on May 1, 2017.

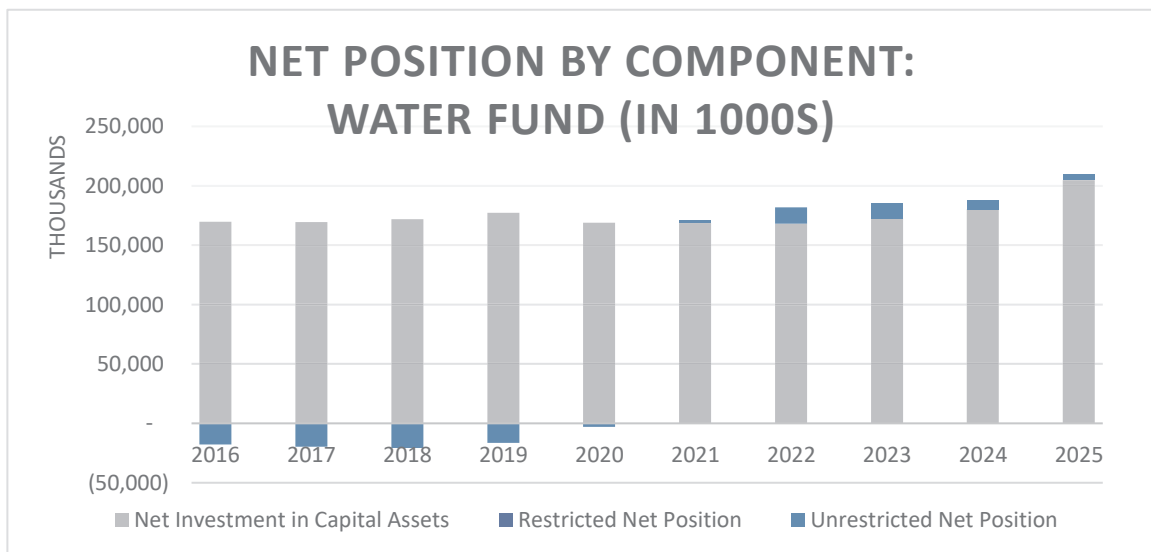
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Net Position by Component - Water Fund
Last Ten Fiscal Years

Fiscal Year Ended	Net Investment in Capital Assets	Restricted Net Position	Unrestricted Net Position	Total Net Position
6/30/2016	169,730,998	n/a	(17,657,766)	152,073,232
6/30/2017	169,569,746	n/a	(19,564,464)	150,005,282
6/30/2018	171,794,031	n/a	(20,699,066)	151,094,965
6/30/2019	177,158,535	n/a	(16,391,858)	160,766,677
6/30/2020	168,992,121	n/a	(2,926,264)	166,065,857
6/30/2021	168,553,917	n/a	2,441,814	170,995,731
6/30/2022	168,172,810	n/a	13,549,824	181,722,634
6/30/2023	172,417,321	1,152,463	12,890,956	186,460,740
6/30/2024	180,168,996	2,414,089	7,974,270	190,557,355
6/30/2025	204,647,326	3,388,293	4,848,952	212,884,571

Source: Department's annual reports

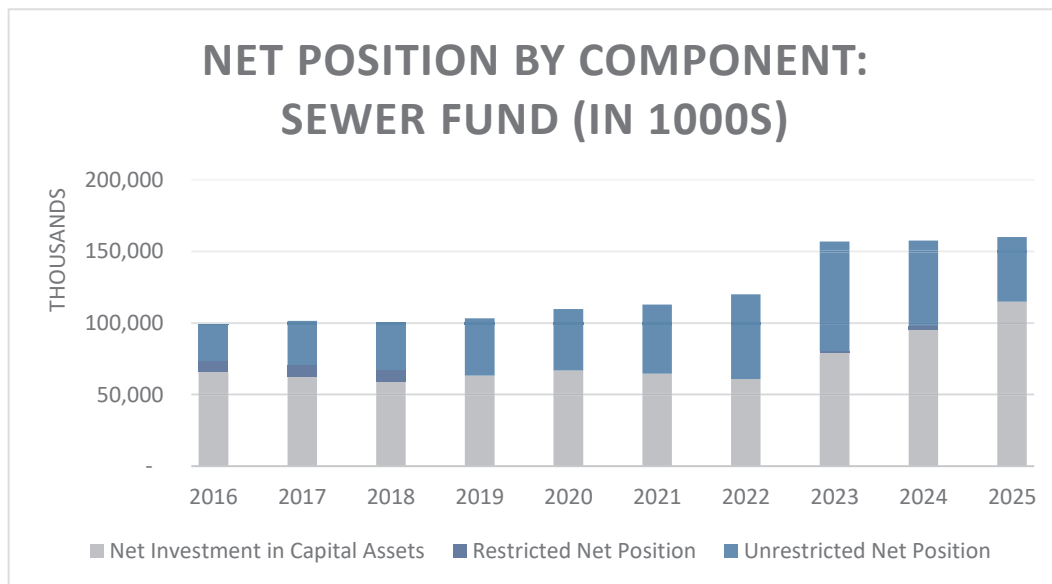


City of San Bernardino Municipal Water Department
Net Position by Component - Sewer Fund
Last Ten Fiscal Years

Fiscal Year Ended	Net Investment in Capital Assets	Restricted Net Position	Unrestricted Net Position	Total Net Position
6/30/2016	65,939,075	7,814,086	25,548,156	99,301,317
6/30/2017	62,633,783	7,944,758	30,925,753	101,504,294
6/30/2018	59,011,109	8,363,037	33,041,181	100,415,327
6/30/2019	63,243,033	n/a	40,040,285	103,283,318
6/30/2020	66,906,874	n/a	42,845,276	109,752,150
6/30/2021	64,650,540	n/a	48,196,123	112,846,663
6/30/2022	60,853,472	n/a	59,251,320	120,104,792
6/30/2023 *	79,192,432	1,069,283	76,637,328	156,899,043
6/30/2024	95,673,321	2,151,996	59,778,976	157,604,293
6/30/2025	114,911,364	3,020,432	45,120,943	163,052,739

Source: Department's annual reports

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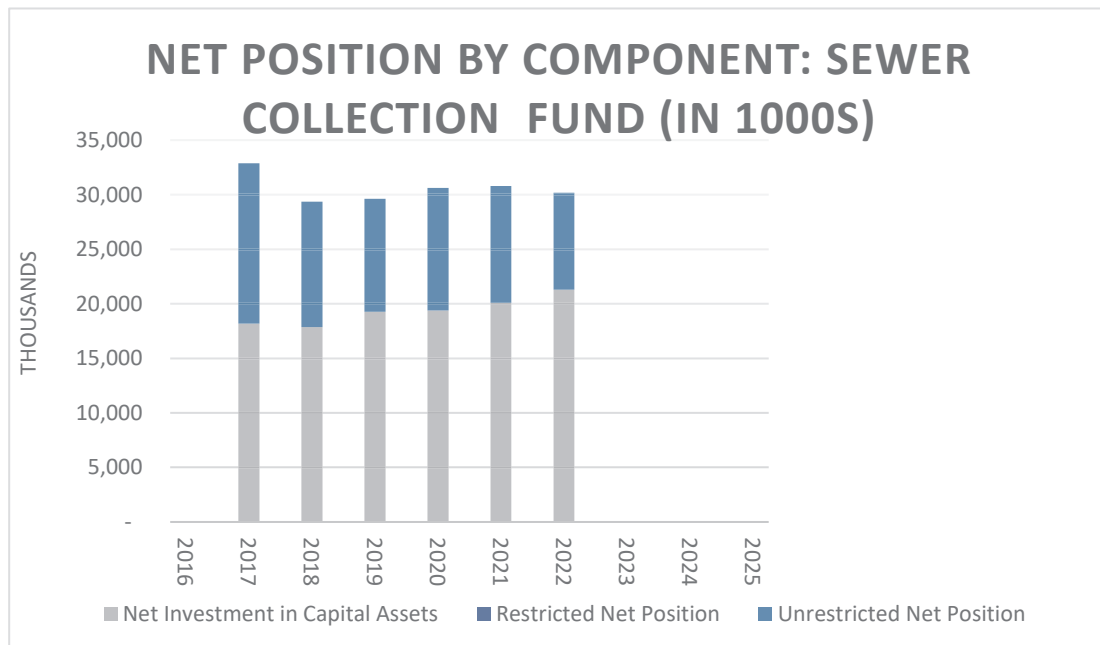
City of San Bernardino Municipal Water Department
Net Position by Component - Sewer Collection Fund
Last Ten Fiscal Years

Fiscal Year Ended	Net Investment in Capital Assets	Restricted Net Position	Unrestricted Net Position	Total Net Position
6/30/2016	n/a	n/a	n/a	n/a
6/30/2017 *	18,195,952	n/a	14,687,959	32,883,911
6/30/2018	17,848,823	n/a	11,507,181	29,356,004
6/30/2019	19,269,930	n/a	10,351,467	29,621,397
6/30/2020	19,371,725	n/a	11,239,973	30,611,698
6/30/2021	20,084,275	n/a	10,712,588	30,796,863
6/30/2022	21,298,084	n/a	8,895,410	30,193,494
6/30/2023 **	-	-	-	-
6/30/2024 **	-	-	-	-
6/30/2025 **	-	-	-	-

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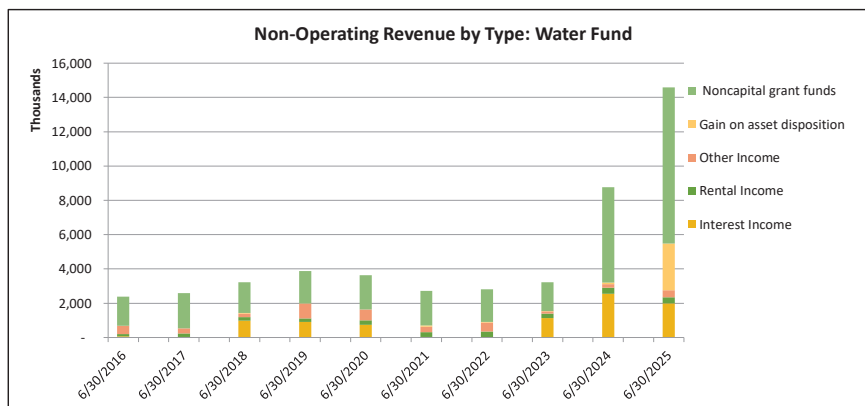
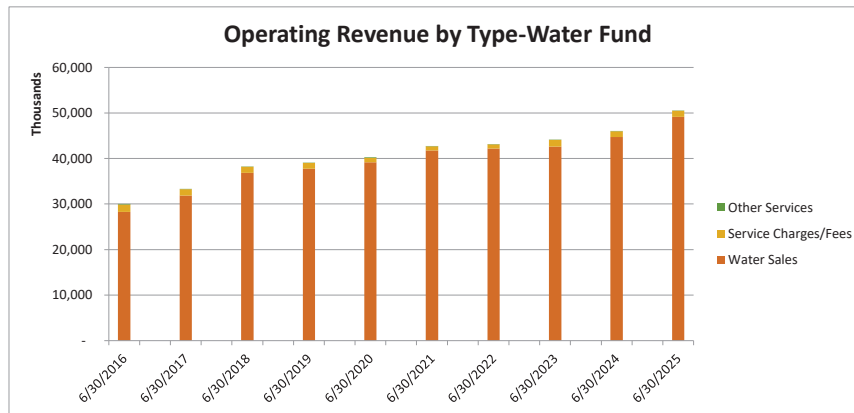
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Water Fund Revenue by Type
Last Ten Fiscal Years

Fiscal Year Ended	Water Sales	Service Charges/Fees	Other Services	Total Operating Revenue	Interest Income	Rental Income	Other Income	Gain on asset disposition	Noncapital grant funds	Total Non Operating Income
6/30/2016	28,293,790	1,604,472	103,609	30,001,871	63,566	134,845	495,298	-	1,696,219	2,389,928
6/30/2017	31,893,209	1,347,993	117,705	33,358,907	31,504	203,186	301,833	-	2,047,946	2,584,469
6/30/2018	36,825,634	1,350,623	103,753	38,280,010	975,144	208,925	206,645	46,356	1,776,883	3,213,953
6/30/2019	37,775,285	1,237,903	86,772	39,099,960	903,399	206,360	867,763	12,669	1,891,729	3,881,920
6/30/2020	39,162,485	1,020,818	84,073	40,267,376	747,477	245,784	651,031	-	1,991,747	3,636,039
6/30/2021	41,760,745	910,628	86,819	42,758,192	29,541	286,553	306,785	83,682	2,011,099	2,717,660
6/30/2022	42,175,623	905,674	68,828	43,150,124	-	347,849	530,326	28,846	1,910,435	2,817,456
6/30/2023	42,635,542	1,427,234	29,057	44,091,833	1,126,039	267,668	140,266	4,859	1,684,006	3,222,838
6/30/2024	44,697,545	1,252,884	34,661	45,985,090	2,544,768	358,472	206,697	85,041	5,566,773	8,761,751
6/30/2025	49,145,878	1,350,144	46,491	50,542,513	1,990,514	353,483	414,711	2,716,329	9,106,142	14,581,179

Source: Department's annual reports

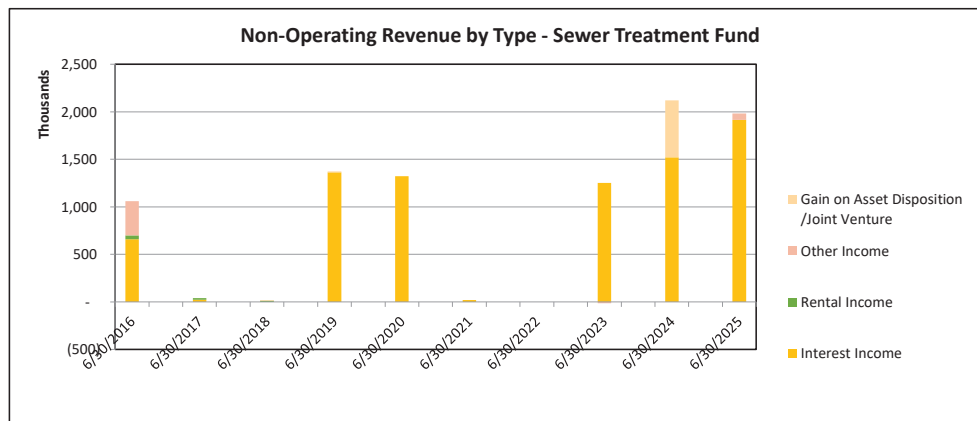
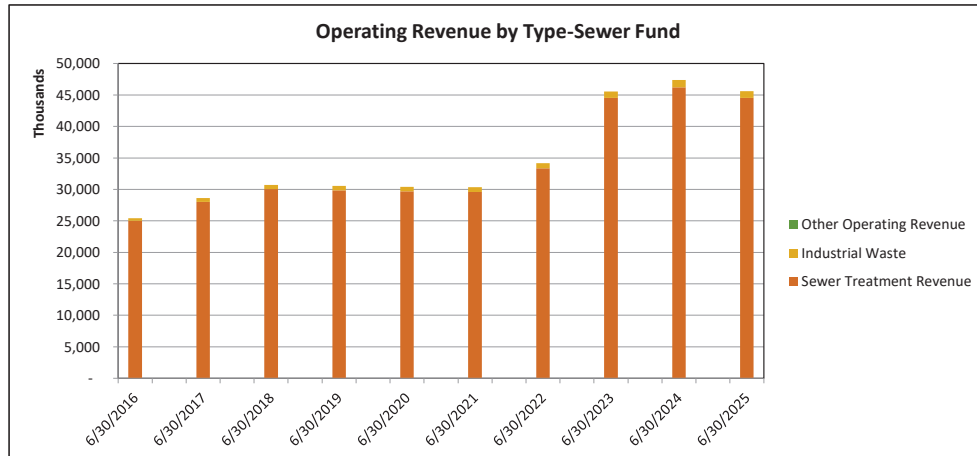


City of San Bernardino Municipal Water Department
Sewer Fund Revenue by Type
Last Ten Fiscal Years

Fiscal Year Ended	Sewer Treatment Revenue	Industrial Waste	Other Operating Revenue	Total Operating Revenue	Interest Income	Rental Income	Other Income	Gain on Asset Disposition /Joint Venture	Total Non Operating Income
6/30/2016	25,030,569	380,171	-	25,410,740	658,456	41,498	359,800	-	1,059,754
6/30/2017	28,022,259	589,760	-	28,612,019	23,391	15,908	-	-	39,299
6/30/2018	30,039,110	694,342	-	30,733,452	-	12,481	-	6,063	18,544
6/30/2019	29,861,192	684,989	-	30,546,181	1,361,936	-	-	9,417	1,371,353
6/30/2020	29,712,734	684,358	-	30,397,092	1,322,367	-	-	-	1,322,367
6/30/2021	29,587,597	773,519	-	30,361,116	19,472	-	-	-	19,472
6/30/2022	33,347,882	823,278	-	34,171,160	-	-	-	-	-
6/30/2023 *	44,519,998	1,024,262	-	45,544,260	1,251,526	-	(15,420)	-	1,236,106
6/30/2024 *	46,224,150	1,161,283	-	47,385,433	1,521,068	-	-	599,981	2,121,049
6/30/2025 *	44,511,354	1,084,288	-	45,595,642	1,914,250	-	67,489	-	1,981,739

Source: Department's annual reports

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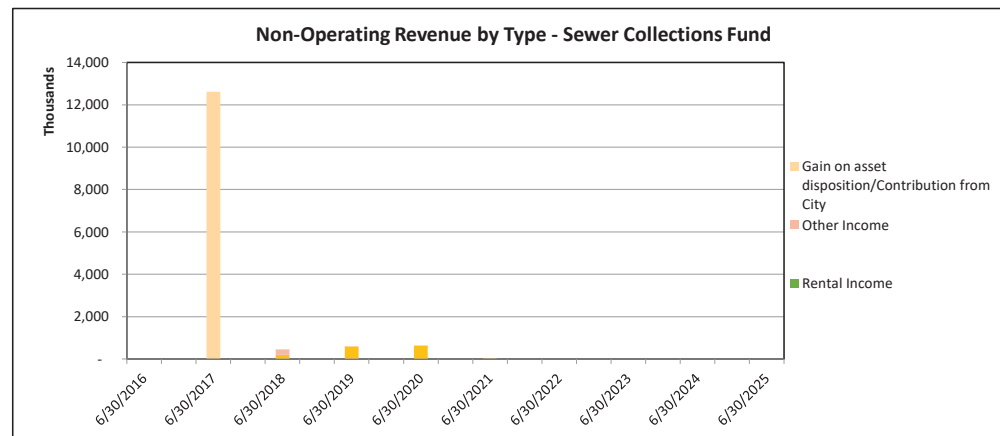
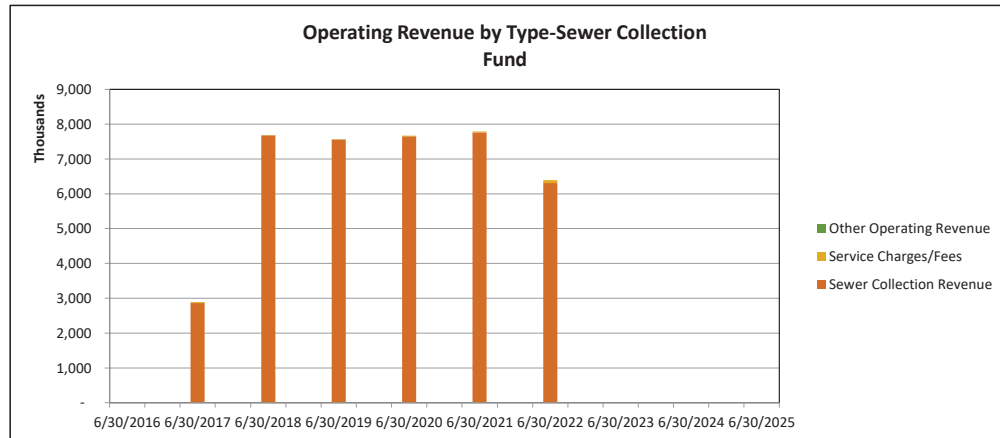
City of San Bernardino Municipal Water Department
Sewer Collection Fund Revenue by Type
Last Ten Fiscal Years

Fiscal Year Ended	Sewer Collection Revenue	Service Charges/Fees	Other Operating Revenue	Total Operating Revenue	Interest Income	Rental Income	Other Income	Gain on asset disposition/Contribution from City	Total Non Operating Income
6/30/2016	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
6/30/2017 *	2,860,627	30,576	-	2,891,203	28,315	-	-	12,580,781	12,609,096
6/30/2018	7,679,020	3,926	-	7,682,946	201,663	-	251,473	3,168	456,304
6/30/2019	7,555,960	6,137	-	7,562,097	584,685	-	5	-	584,690
6/30/2020	7,656,675	9,634	-	7,666,309	626,761	-	-	3,003	629,764
6/30/2021	7,759,318	35,100	-	7,794,418	1,605	-	9,306	-	10,911
6/30/2022	6,306,843	87,780	-	6,394,623	-	-	-	-	-
6/30/2023 **	-	-	-	-	-	-	-	-	-
6/30/2024 **	-	-	-	-	-	-	-	-	-
6/30/2025 **	-	-	-	-	-	-	-	-	-

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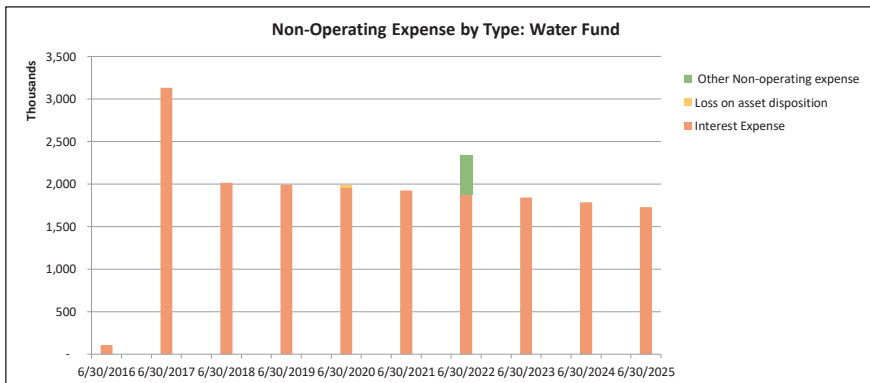
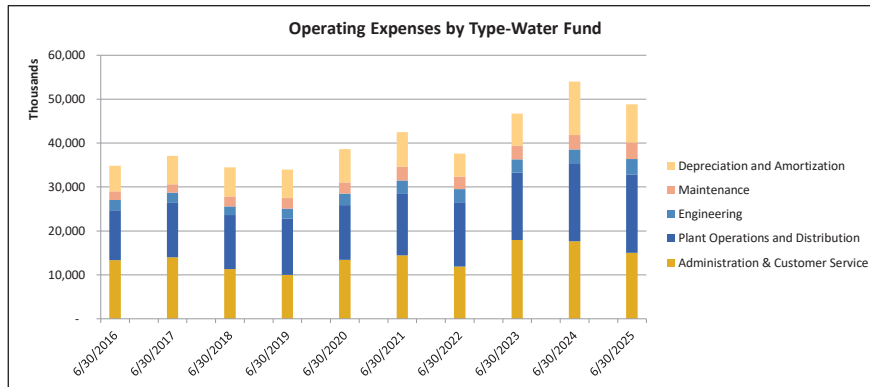
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Water Fund Expenses by Type
Last Ten Fiscal Years

Fiscal Year Ended	Administration & Customer Service	Plant Operations and Distribution	Engineering	Maintenance	Depreciation and Amortization	Total Operating Expense	Interest Expense	Loss on asset disposition	Other Non-operating expense	Total Non-Operating Expense
6/30/2016	13,313,085	11,406,861	2,326,551	1,978,534	5,809,331	34,834,362	106,698	-	-	106,698
6/30/2017	13,971,106	12,436,501	2,329,142	1,859,871	6,478,050	37,074,670	3,130,749	-	-	3,130,749
6/30/2018	11,300,091	12,337,763	1,943,659	2,292,625	6,571,957	34,446,095	2,015,792	-	-	2,015,792
6/30/2019	9,987,198	12,853,400	2,253,333	2,387,889	6,512,907	33,994,727	1,993,624	-	-	1,993,624
6/30/2020	13,418,886	12,472,633	2,641,641	2,528,441	7,564,550	38,626,151	1,955,317	25,094	-	1,980,411
6/30/2021	14,405,557	14,045,232	3,064,623	3,126,556	7,838,887	42,480,855	1,926,133	-	-	1,926,133
6/30/2022	11,921,394	14,603,130	3,001,100	2,846,997	5,253,425	37,626,046	1,877,325	-	456,170	2,333,495
6/30/2023	17,923,515	15,374,571	2,976,680	3,138,031	7,298,095	46,710,892	1,841,859	-	-	1,841,859
6/30/2024	17,630,159	17,829,965	3,074,606	3,330,387	12,131,463	53,996,580	1,783,831	-	-	1,783,831
6/30/2025	15,024,065	17,866,076	3,494,437	3,757,074	8,726,491	48,868,143	1,728,231	-	-	1,728,231

Source: Department's annual reports



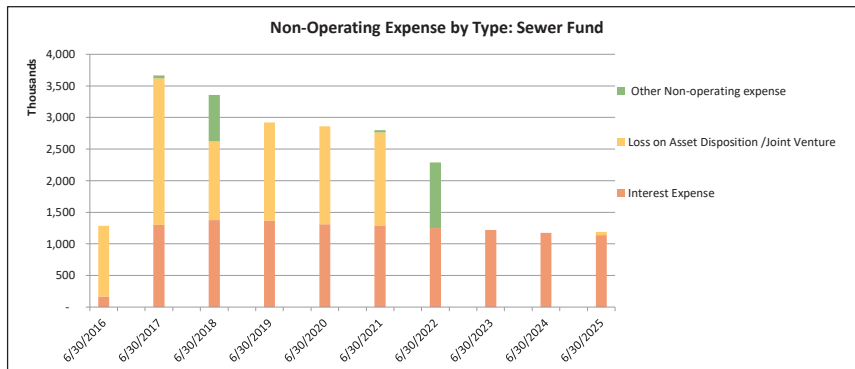
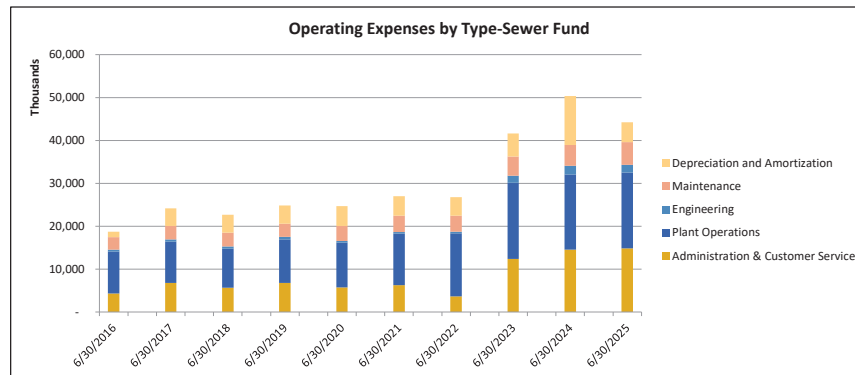
City of San Bernardino Municipal Water Department
Sewer Fund Expenses by Type
Last Ten Fiscal Years

Fiscal Year Ended	Administration & Customer Service	Plant Operations	Engineering	Maintenance	Depreciation and Amortization	Total Operating Expense	Interest Expense	Loss on Asset Disposition /Joint Venture	Other Non-operating expense	Total Non-Operating Expense
6/30/2016	4,299,808	9,800,283	464,554	2,874,352	1,292,426	18,731,423	167,795	1,116,078	-	1,283,873
6/30/2017	6,799,639	9,620,639	480,951	3,135,686	4,102,963	24,139,878	1,300,263	2,321,485	42,209	3,663,957
6/30/2018	5,690,507	9,056,518	500,009	3,281,446	4,157,550	22,686,030	1,376,009	1,247,670	733,583	3,357,262
6/30/2019	6,775,552	10,118,506	617,855	3,041,620	4,313,147	24,866,681	1,367,375	1,553,261	-	2,920,635
6/30/2020	5,702,973	10,470,501	369,422	3,508,534	4,596,980	24,648,411	1,313,151	1,546,396	-	2,859,546
6/30/2021	6,292,313	11,986,858	387,932	3,811,413	4,507,869	26,986,385	1,283,861	1,479,729	38,363	2,801,953
6/30/2022 *	3,666,547	14,648,530	385,517	3,764,618	4,329,178	26,794,390	1,249,715	- *	1,038,291	2,288,006
6/30/2023 **	12,396,331	17,749,049	1,657,022	4,434,120	5,360,819	41,597,341	1,219,167	- *	-	1,219,167
6/30/2024 **	14,539,325	17,524,663	2,030,808	4,845,501	11,411,059	50,351,356	1,175,040	- *	-	1,175,040
6/30/2025 **	14,822,174	17,657,053	1,849,607	5,281,012	4,596,972	44,206,818	1,136,264	54,801	-	1,191,065

Source: Department's annual reports

* Joint Venture expense relating to RIX operations are now classified as Operations beginning in 2022.

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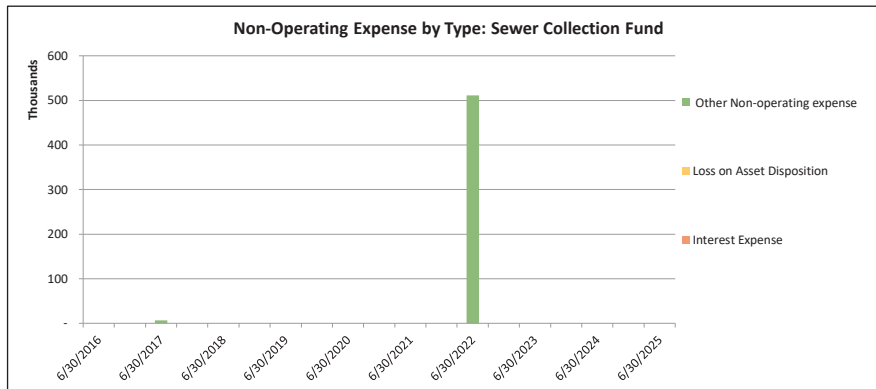
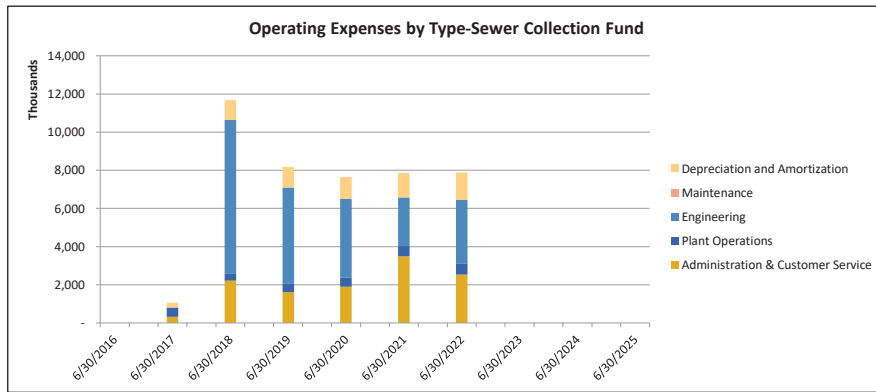
City of San Bernardino Municipal Water Department
Sewer Collection Fund Expenses by Type
Last Ten Fiscal Years

Fiscal Year Ended	Administration & Customer Service	Plant Operations	Engineering	Maintenance	Depreciation and Amortization	Total Operating Expense	Interest Expense	Loss on Asset Disposition	Other Non-operating expense	Total Non-Operating Expense
6/30/2016 *	-	-	-	-	-	-	-	-	-	-
6/30/2017 *	314,265	492,675	-	-	247,926	1,054,866	-	-	6,951	6,951
6/30/2018	2,211,188	354,423	8,071,891	-	1,029,648	11,667,150	-	-	-	-
6/30/2019	1,608,074	439,660	5,051,773	-	1,073,415	8,172,922	-	-	-	-
6/30/2020	1,898,461	483,316	4,124,631	-	1,144,096	7,650,504	-	-	-	-
6/30/2021	3,497,969	533,619	2,549,257	-	1,281,602	7,862,447	-	-	-	-
6/30/2022	2,535,314	590,600	3,333,804	-	1,428,347	7,888,065	-	-	511,234	511,234
6/30/2023 **	-	-	-	-	-	-	-	-	-	-
6/30/2024 **	-	-	-	-	-	-	-	-	-	-
6/30/2025 **	-	-	-	-	-	-	-	-	-	-

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Source: Department's annual reports



DEBT CAPACITY INFORMATION

These schedules contain information to help the reader assess the affordability of the Department's current level of outstanding debt and ability to issue debt in the future.

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City of San Bernardino Municipal Water Department
Water Fund Debt Service Coverage
Last Ten Fiscal Years

Fiscal Year Ended	Total Operating Revenue	Net Operating Expenses (Excluding Depreciation)	Net Operating Income (Loss)	Net Non-Operating Income/ (Expense)	Amount Available for Debt Service	Principal	Interest	Total Debt Service	Coverage Ratio
6/30/2016	30,001,871	29,025,031	976,840	2,283,230	3,260,070	1,813,594	523,274	2,336,868	1.40
6/30/2017	33,358,907	30,596,620	2,762,287	2,584,468	5,346,755	246,887	218,819	465,706	11.48
6/30/2018	38,280,016	27,874,148	10,405,868	3,167,597	13,573,465	770,000	2,223,838	2,993,838	4.53
6/30/2019	39,099,960	27,482,130	11,617,830	3,810,403	15,428,233	795,000	2,196,388	2,991,388	5.16
6/30/2020	40,267,376	31,061,601	9,205,775	3,636,039	12,841,814	830,000	2,163,888	2,993,888	4.29
6/30/2021	42,758,192	34,641,968	8,116,224	2,633,978	10,750,202	860,000	2,130,088	2,990,088	3.60
6/30/2022	43,150,124	32,372,621	10,777,503	2,332,440	13,109,943	900,000	2,090,388	2,990,388	4.38
6/30/2023	44,091,833	39,412,797	4,679,036	3,217,979	7,897,015	950,000	2,044,138	2,994,138	2.64
6/30/2024	45,985,090	41,865,117	4,119,973	8,676,710	12,796,683	995,000	1,995,513	2,990,513	4.28
6/30/2025	50,542,513	40,141,652	10,400,861	11,864,850	22,265,711	1,050,000	1,944,388	2,994,388	7.44

Source: Department's annual reports

City of San Bernardino Municipal Water Department
Sewer Fund Debt Service Coverage
Last Ten Fiscal Years

Fiscal Year Ended	Total Operating Revenue	Net Operating Expenses (Excluding Depreciation)	Net Operating Income (Loss)	Net Non-Operating Income/ (Expense)	Amount Available for Debt Service	Principal	Interest	Total Debt Service	Coverage Ratio
6/30/2016	25,410,740	17,438,997	7,971,743	(224,119)	7,747,624	300,000	-	300,000	25.83
6/30/2017	28,612,019	20,036,916	8,575,103	39,299	8,614,402	300,000	132,659	432,659	19.91
6/30/2018	30,733,453	18,539,941	12,193,512	(721,103)	11,472,409	890,000	1,382,782	2,272,782	5.05
6/30/2019	30,546,181	20,841,699	9,704,482	1,361,935	11,066,417	910,000	1,356,125	2,266,125	4.88
6/30/2020	30,397,092	20,051,431	10,345,661	1,322,367	11,668,028	935,000	1,331,225	2,266,225	5.15
6/30/2021	30,361,116	22,478,516	7,882,600	19,472	7,902,072	665,000	1,301,900	1,966,900	4.02
6/30/2022	34,171,160	22,465,212	11,705,948	(1,021,981)	10,683,967	700,000	1,267,775	1,967,775	5.43
6/30/2023	45,544,260	36,236,522	9,307,738	1,251,526	10,559,264	735,000	1,231,900	1,966,900	5.37
6/30/2024	47,385,433	38,940,297	8,445,136	1,521,068	9,966,204	770,000	1,194,275	1,964,275	5.07
6/30/2025	45,595,642	39,609,846	5,985,796	1,981,739	7,967,535	810,000	1,154,775	1,964,775	4.06

Source: Department's annual reports

City of San Bernardino Municipal Water Department
Ratios of Outstanding Debt by Type (In Thousands of Dollars)
Last Ten Fiscal Years

Fiscal Year Ended	Revenue Bonds	Notes/Loans Payable	Certificates of Participation	Leases	Total	Percentage of Personal Income	Debt Per Capita
6/30/2016	-	20,569	-	-	20,569	0.3%	0.10
6/30/2017	88,656	900	-	-	89,556	1.0%	0.39
6/30/2018	87,092	600	-	-	87,692	1.0%	0.37
6/30/2019	85,483	300	-	-	85,783	1.0%	0.39
6/30/2020	83,814	-	-	-	83,814	1.0%	0.39
6/30/2021	82,085	-	-	-	82,085	1.1%	0.38
6/30/2022	80,221	-	-	-	80,221	1.7%	0.36
6/30/2023	78,391	-	-	183	78,574	1.7%	0.35
6/30/2024	76,422	-	-	12	76,434	1.7%	0.34
6/30/2025	74,358	-	-	-	74,358	1.6%	0.33

Source: Department's annual reports

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DEMOGRAPHIC AND ECONOMIC INFORMATION

These schedules offer demographic and economic indicators to help the reader understand the environment within which the Department's financial activities take place.

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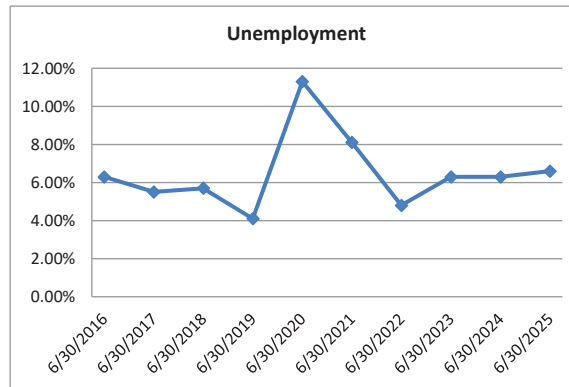
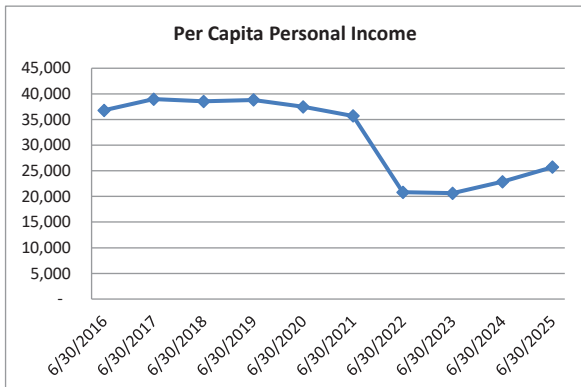
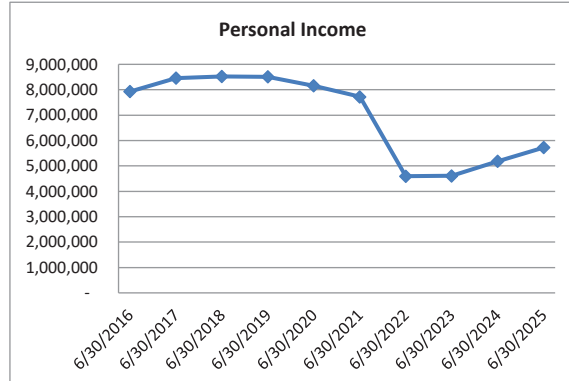
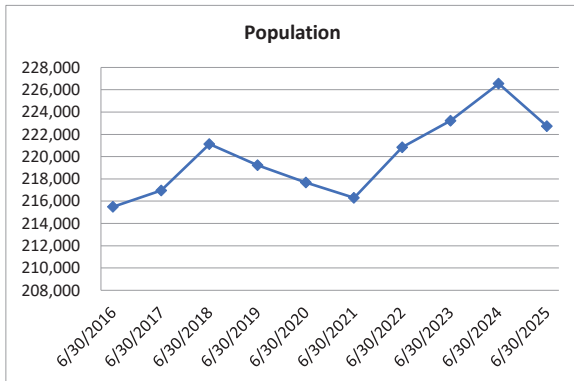
City of San Bernardino Municipal Water Department
Demographic Statistics
Last Ten Fiscal Years

Fiscal Year Ended	Estimated Population (1)	Personal Income (In Thousands) (2)	Per Capita Personal Income (2)	Unemployment Rate (3)
6/30/2016	215,491	7,931,577	36,807	6.30%
6/30/2017	216,972	8,459,304	38,988	5.50%
6/30/2018	221,130	8,523,677	38,546	0
6/30/2019	219,233	8,509,748	38,816	4.10%
6/30/2020	217,671	8,159,289	37,485	11.30%
6/30/2021	216,291	7,723,319	35,708	8.10%
6/30/2022	220,840	4,596,122	20,812	4.80%
6/30/2023	223,230	4,608,807	20,646	6.30%
6/30/2024	226,541	5,179,860	22,865	6.30%
6/30/2025	222,727	5,727,648	25,716	6.60%

(1) California Department of Finance

(2) City of San Bernardino Economic Development Dept

(3) State of California, Economic Development Department; City of San Bernardino Economic Development Dept



City of San Bernardino Municipal Water Department
Major Employers
Current Year and Nine Years Ago

Employer	Fiscal Year 2025		Fiscal Year 2016	
	Ranking	Number of Employees	Ranking	Number of Employees*
Patton State Hospital	1	2,283	1	1,000+
California State University- San Bernardino	2	2,100	2	1,000+
Amazon Fullfilment Center	3	2,000	3	1,000+
Burlington Distribution Center	4	2,000	4	1,000+
San Bernardino County Superintendent of Schools	5	2,000	5	1,000+
Dignity Health - St. Bernardine Medical Center	6	1,548	6	1,000+
Stater Bros Markets	7	1,539	7	1,000+
SB County Transportation Department	8	1,450	8	1,000+
Dignity Health - Community Hospital of SB	9	1,136	9	1,000+
Metropolitan Auto Warehouse	10	1,001	10	1,000+

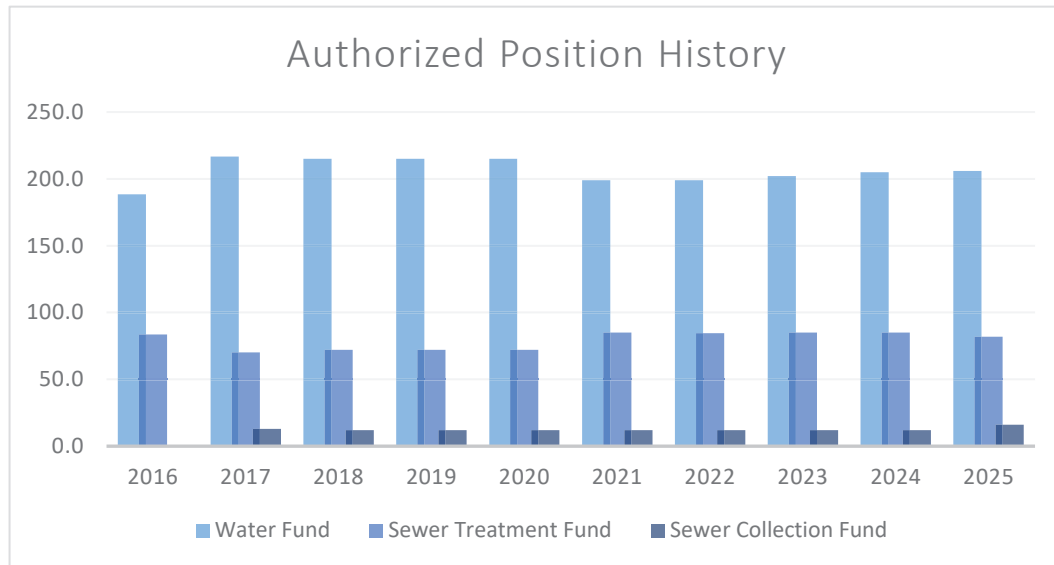
Source: City of San Bernardino Economic Development Department , Data Axle and City's Annual Financial Report.

City of San Bernardino Municipal Water Department
Authorized Positions History
Last Ten Fiscal Years

Year End	Water Fund	Sewer Treatment	Sewer Collection	Total
		Fund	Fund	
2016	188.5	83.5	0.0	272.0
2017	216.8	70.3	13.0	300.0
2018	215.0	72.0	12.0	299.0
2019	215.0	72.0	12.0	299.0
2020	215.0	72.0	12.0	299.0
2021	199.0	85.0	12.0	296.0
2022	199.0	84.5	12.0	295.5
2023	202.0	85.0	12.0	299.0
2024	205.0	85.0	12.0	302.0
2025	206.0	82.0	16.0	304.0

Source: Department's records

Note: The Sewer Collection Utility was transferred to the Department on May 1, 2017. Prior year data is unavailable.



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REVENUE CAPACITY

These schedules contain information to help the reader assess the Department's significant revenue sources.

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City of San Bernardino Municipal Water Department
Water Rates: Minimum Monthly Charge
Last Ten Fiscal Years

	(\$/month)											
Effective Date	1/2"	5/8"	3/4"	1"	1-1/2"	2"	3"	4"	6"	8"	10"	12"
10/1/2016	16.09	16.09	20.15	28.19	48.40	72.60	129.12	197.36	411.68	653.88	936.44	*
7/1/2017	19.58	19.58	24.51	34.30	58.88	88.32	157.06	240.07	500.78	795.40	1,139.12	*
7/1/2018	23.39	23.39	29.28	40.98	70.35	105.52	187.66	286.63	598.33	950.34	1,361.01	*
7/1/2019	23.39	23.39	29.28	40.98	70.35	105.52	187.66	286.63	598.33	950.34	1,361.01	*
7/1/2020	23.39	23.39	29.28	40.98	70.35	105.52	187.66	286.63	598.33	950.34	1,361.01	*
7/1/2021	23.39	23.39	29.28	40.98	70.35	105.52	187.66	286.63	598.33	950.34	1,361.01	*
4/1/2022	20.49	20.49	28.17	43.51	81.87	127.91	388.77	772.38	1,232.72	2,153.40	4,224.92	4,224.92
7/1/2022	21.72	21.72	29.87	46.13	86.79	135.59	412.10	818.73	1,306.69	2,282.61	4,478.42	4,478.42
7/1/2023	22.59	22.59	31.07	47.98	90.27	141.02	428.59	851.48	1,358.96	2,373.92	4,657.56	4,657.56
7/1/2024	23.27	23.27	32.01	49.42	92.98	145.26	441.45	877.03	1,399.73	2,445.14	4,797.29	4,797.29
7/1/2025	23.97	23.97	32.98	50.91	95.77	149.62	454.70	903.35	1,441.73	2,518.50	4,941.21	4,941.21

* Information not reported.

Source: Department's Records

Municipal Water Department
Water Rates: Commodity Charges
Last Ten Fiscal Years

	7/1/2016	7/1/2017	7/1/2018	7/1/2019	7/1/2020	7/1/2021	4/1/2022	7/1/2022	7/1/2023	7/1/2024	7/1/2025
Customer Class											
Single Family Residential											
Tier 1 (0-13 HCF)	1.37	1.40	1.43	1.43	1.43	1.43	1.35	1.44	1.50	1.55	1.60
Tier 2 (14-23 HCF)	1.37	1.40	1.43	1.43	1.43	1.43	1.83	1.94	2.02	2.09	2.16
Tier 3 (24+ HCF)	1.86	1.89	1.92	1.92	1.92	1.92	2.33	2.47	2.57	2.65	2.73
Multi-Family Residential	1.37	1.40	1.43	1.43	1.43	1.43	1.51	1.61	1.68	1.74	1.80
Commercial	1.37	1.40	1.43	1.43	1.43	1.43	1.65	1.75	1.82	1.88	1.94
Irrigation	1.37	1.40	1.43	1.43	1.43	1.43	2.32	2.46	2.56	2.64	2.72
Institutional	1.37	1.40	1.43	1.43	1.43	1.43	2.06	2.19	2.28	2.35	2.43
Other	1.37	1.40	1.43	1.43	1.43	1.43	3.82	4.05	4.22	4.35	4.49

* Prior years (07/01/14 - 07/01/21) commodity charges reflect rates including conservation, replenishment and elevation zone charges which were consolidated with the rates adopted on 04/01/22.

City of San Bernardino Municipal Water Department
Water Rates: Elevation Charges \$ per HCF
Last Ten Fiscal Years

Effective Date	Zone 1	Zone 2	Zone 3	Zone 4	Zone 5	Zone 6
10/01/16	0.11	0.19	0.17	0.14	0.23	0.23
07/01/17	0.11	0.19	0.17	0.14	0.23	0.23
07/01/18	0.11	0.19	0.17	0.14	0.23	0.23
07/01/19	0.11	0.19	0.17	0.14	0.23	0.23
07/01/20	0.11	0.19	0.17	0.14	0.23	0.23
07/01/21	0.11	0.19	0.17	0.14	0.23	0.23
4/1/2022*	N/A	N/A	N/A	N/A	N/A	N/A
7/1/2022*	N/A	N/A	N/A	N/A	N/A	N/A
7/1/2023*	N/A	N/A	N/A	N/A	N/A	N/A
7/1/2024*	N/A	N/A	N/A	N/A	N/A	N/A
7/1/2025*	N/A	N/A	N/A	N/A	N/A	N/A

* Elevation charge was eliminated with the rate adoption on 04/01/22.

Source: Department's records

City of San Bernardino Municipal Water Department
Water Connections and Revenues by User Type
Last Ten Fiscal Years

*Rev from Water Spreadsheet used and difference plugged in to add up to Water Totals

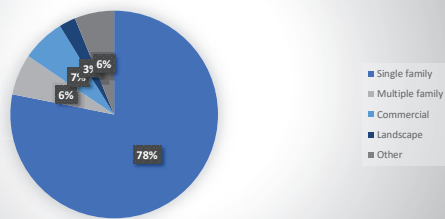
User Type	2025		2024		2023		2022	
	Connections	Revenue	Connections	Revenue	Connections	Revenue	Connections	Revenue
Single family	36,170	\$23,557,581	36,140	\$22,210,799	36,063	\$21,652,852	35,744	\$23,761,145
Multiple family	2,953	6,352,591	2,932	6,148,207	2,916	5,835,444	2,905	5,562,012
Commercial	3,128	9,044,456	3,158	8,976,290	3,164	8,454,199	3,151	6,976,893
Landscape	1,192	7,922,591	1,189	6,957,544	1,196	6,742,399	1,184	5,515,046
Other	2,859	3,665,294	2,671	1,692,251	2,574	860,736	2,296	811,219
Total all users	46,302	50,542,513	46,090	45,985,090	45,913	43,545,629	45,280	42,626,315

User Type	2021		2020		2019		2018	
	Connections	Revenue	Connections	Revenue	Connections	Revenue	Connections	Revenue
Single family	35,995	\$23,875,761	36,042	\$22,909,054	36,006	\$21,579,693	35,824	\$20,476,866
Multiple family	2,908	5,569,436	2,907	5,222,345	2,903	5,157,997	2,904	4,944,978
Commercial	3,154	6,579,373	3,117	6,482,560	3,104	6,320,900	3,111	6,117,493
Landscape	1,192	5,277,114	1,181	4,542,108	1,150	4,256,390	1,159	4,694,704
Other	2,241	811,833	2,174	781,428	2,056	808,227	2,018	748,141
Total all users	45,490	\$42,113,517	45,421	\$39,937,495	45,220	\$38,123,207	45,016	\$36,982,182

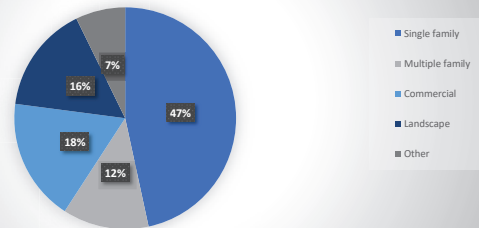
User Type	2017		2016	
	Connections	Revenue	Connections	Revenue
Single family	35,825	\$17,346,414	35,729	\$15,688,749
Multiple family	2,899	4,449,204	2,873	4,225,832
Commercial	3,131	5,750,672	3,092	4,913,942
Landscape	1,121	3,789,527	1,129	3,203,907
Other	1,956	557,392	1,905	677,180
Total all users	44,932	\$31,893,209	44,728	\$28,709,610

Source: Department's records

Water Service Connections per Customer Type
FY 2024



Water Service Revenue by User Type FY 2024



City of San Bernardino Municipal Water Department
Top Ten Water Customers
Fiscal Year 2022

2025 Top 10 Customers

City of SB	\$ 1,839,579
San Bernardino City Unified School District	1,728,622
Cal State San Bernardino	696,121
County of San Bernardino	364,937
Housing Authority	280,338
Cott Beverages	274,607
Rialto School District	262,661
W Dean Weidner	221,102
SB Community Hospital Site #373	193,671
Crest Haven Apartments	193,445
Top Ten Customers Total	<u>\$ 6,055,082</u>
Total Water Revenue	<u><u>\$ 50,542,513</u></u>
Top Ten Customers Percent of Total	<u>11.98%</u>

City of San Bernardino Municipal Water Department
Sewer Treatment Rate History
Last Ten Fiscal Years

	7/1/2016	7/1/2017	7/1/2018	7/1/2019	7/1/2020	7/1/2021	4/1/2022*	7/1/2022*	7/1/2023*	7/1/2024*	7/1/2025*
<u>Residential (monthly per EDU)</u>											
Residential	22.38	23.10	23.10	23.10	23.10	23.10	37.83	41.99	45.35	48.98	52.90
Multi-Family (2 units)	44.76	46.20		66.05	66.05	66.05	75.66	83.98	90.70	97.96	105.80
Multi-family (3 units)	67.14	69.29	99.04	99.04	99.04	99.04	113.49	125.98	136.05	146.94	158.69
All Non-Residential (including multi-family (4 or more units) and mobile home parks)	3.42	3.52	6.62	6.62	6.62	6.62	16.56	18.38	19.85	21.44	23.16
Industrial	1.78	1.83	4.93	4.93	4.93	4.93	16.56	18.38	19.85	21.44	23.16

* The Sewer Collection rate was combined with the Sewer Treatment rate to become the sewer rate that was effective 04/01/22.

Source: Department's records

City of San Bernardino Municipal Water Department
Sewer Treatment Rate History
Last Ten Fiscal Years

	7/1/2016	7/1/2017	7/1/2018	7/1/2019	7/1/2020	7/1/2021	4/1/2022*	7/1/2022*	7/1/2023*	7/1/2024*	7/1/2025*
Commodity Charge (per HCF):											
<u>Low Strength Non-Residential</u>											
Laundromats	1.77	1.83	1.83	1.83	1.83	1.83	2.15	2.39	2.58	2.78	3.01
Schools, churches, nursery schools	1.29	1.33	1.33	1.33	1.33	1.33	2.15	2.39	2.58	2.78	3.01
<u>Medium Strength Non-Residential</u>											
Multi-family, mobile home parks	1.48	1.53	1.53	1.53	1.53	1.53	2.71	3.01	3.25	3.51	3.79
Retail, commercial, light industrial	2.47	2.55	2.55	2.55	2.55	2.55	2.71	3.01	3.25	3.51	3.79
Auto repair, car wash	1.53	1.58	1.58	1.58	1.58	1.58	2.71	3.01	3.25	3.51	3.79
Offices, motels (w/o restaurants)	1.77	1.83	1.83	1.83	1.83	1.83	2.71	3.01	3.25	3.51	3.79
Hospitals, convalescent homes	1.58	1.63	1.63	1.63	1.63	1.63	2.71	3.01	3.25	3.51	3.79
<u>High Strength Non-Residential</u>											
Restaurants, hotels	3.18	3.28	3.28	3.28	3.28	3.28	6.42	7.13	7.7	8.31	8.98
<u>Domestic Liquid Waste (per gallon)</u>	0.0470	0.0490	0.0490	0.0490	0.0490	0.0490	0.0714	0.0793	0.0856	0.0925	0.0998
<u>Industrial:</u>											
Discharge Flow (per million gallons)	1,060.00	1,094.00	1,094.00	1,094.00	1,094.00	1,094.00	1,420.83	1,577.12	1703.29	1,839.55	1,986.72
Biological Oxygen demand (per 1,000 lbs)	424.00	438.00	438.00	438.00	438.00	438.00	648.28	719.59	777.16	839.33	906.48
Suspended Solids (per 1,000 lbs)	753.00	778.00	778.00	778.00	778.00	778.00	648.50	719.84	777.42	839.62	906.78

* The Sewer Collection rate was combined with the Sewer Treatment rate to become the sewer rate that was effective 04/01/22.

Source: Department's records

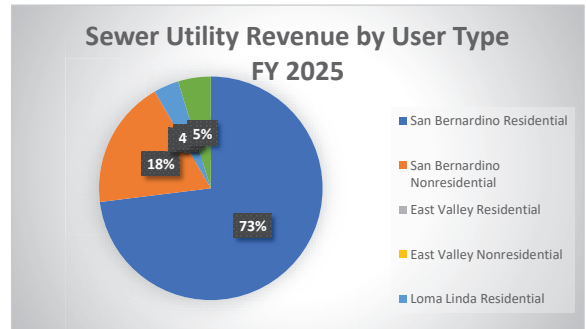
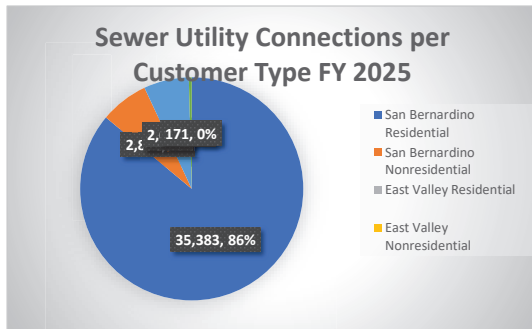
City of San Bernardino Municipal Water Department
Sewer Treatment Connections and Revenue by User Type
Last Ten Fiscal Years

User Type	2025		2024		2023		2022	
	Connections	Revenue	Connections	Revenue	Connections	Revenue	Connections	Revenue
San Bernardino Residential	35,383	\$33,303,765	33,398	\$29,810,174	33,050	\$30,834,983	33,230	\$14,359,415
San Bernardino Nonresidential	2,877	8,482,768	5,598	7,008,332	5,576	2,113,002	5,566	7,279,215
East Valley Residential	-	-	-	3,660,647	18,735	5,003,034	18,636	5,011,215
East Valley Nonresidential	-	-	-	2,338,956	1,089	3,329,085	1,106	3,805,558
Loma Linda Residential	2,690	1,655,293	2,690	1,513,264	3,185	1,239,524	3,039	1,219,034
Loma Linda Nonresidential	171	2,153,816	171	1,892,777	170	2,000,370	169	1,673,445
Total all users	41,121	\$45,595,642	41,857	\$46,224,150	61,805	\$44,519,998	61,746	\$33,347,882

	2021		2020		2019		2018	
	Connections	Revenue	Connections	Revenue	Connections	Revenue	Connections	Revenue
San Bernardino Residential	32,365	\$10,165,765	31,828	\$10,191,482	33,051	\$10,146,660	32,945	\$10,135,132
San Bernardino Nonresidential	5,436	8,292,874	5,340	8,463,554	5,531	8,645,032	5,526	8,834,641
East Valley Residential	18,710	4,797,833	18,477	4,778,152	18,477	4,778,152	18,477	4,765,218
East Valley Nonresidential	1,087	3,456,827	1,050	3,483,724	1,050	3,550,973	1,050	3,579,348
Loma Linda Residential	3,010	1,232,048	2,856	1,163,501	2,799	1,171,706	4,824	1,167,823
Loma Linda Nonresidential	169	1,642,250	168	1,622,872	345	1,557,119	703	1,548,574
Total all users	60,777	\$29,587,596	59,719	\$29,703,284	61,253	\$29,849,643	63,525	\$30,030,737

	2017		2016	
	Connections	Revenue	Connections	Revenue
San Bernardino Residential	32,960	\$9,756,592	32,889	\$8,746,617
San Bernardino Nonresidential	5,471	8,010,240	5,377	7,125,053
East Valley Residential	18,477	4,622,944	18,477	4,008,039
East Valley Nonresidential	1,050	3,083,475	1,060	2,825,971
Loma Linda Residential	4,723	1,107,201	5,948	1,008,071
Loma Linda Nonresidential	593	1,441,807	591	1,308,474
Total all users	63,274	\$28,022,259	64,342	\$25,022,225

Source: Department's records



City of San Bernardino Municipal Water Department
Top Ten Sewer Treatment Customers
Fiscal Year 2022

2025 Top 10 Customers

County of San Bernardino	\$ 494,620
San Bernardino City Unified School District	464,791
City of SB	358,313
Housing Authority	263,247
PAMA Management Co.	220,700
St. Bernardine's Hospital	201,491
SB Comm Hospital Site #373	195,820
Broadstone Investors LLC	193,081
LIDO Condominiums	169,237
W Dean Weidner	165,966
 Top Ten Customers Total	 <u>\$ 2,727,264</u>
 Total Sewer Revenue	 <u><u>\$ 45,595,642</u></u>
 Top Ten Customers Percent of Total	 <u>5.98%</u>

Source: Department's records

City of San Bernardino Municipal Water Department
Sewer Collection Rate History
Last Ten Fiscal Years

	7/1/2016	7/1/2017	7/1/2018	7/1/2019	7/1/2020	7/1/2021	4/1/2022*	7/1/2022*	7/1/2023*	7/1/2024*
<u>Residential (monthly per EDU)</u>	9.45	9.90	9.90	9.90	9.90	9.90	N/A	N/A	N/A	N/A
<u>Multi-Family</u>										
Multi-family, 2 units	18.90	19.85	19.85	19.85	19.85	19.85	N/A	N/A	N/A	N/A
Multi-family, 3 units	28.35	29.75	29.75	29.75	29.75	29.75	N/A	N/A	N/A	N/A
Multi-family, 4 or more units, Non-res.										
Monthly Charge	2.95	3.10	3.10	3.10	3.10	3.10	N/A	N/A	N/A	N/A
Usage Charge (per HCF)	0.83	0.87	0.87	0.87	0.87	0.87	N/A	N/A	N/A	N/A

* The Sewer Collection rate was combined with the Sewer Treatment rate to become the sewer rate that was effective 04/01/22.

The Sewer Collection Utility was transferred to the Water Department on May 1, 2017 so details for prior years is unavailable.

Source: Department's records

City of San Bernardino Municipal Water Department
Sewer Collection
Connections and Revenue by User Type
Last Ten Fiscal Years

User Type	2025			2024			2023			2022		
	Connections	Consumption	Revenue	Connections	Consumption	Revenue	Connections	Consumption	Revenue	Connections	Consumption	Revenue
Residential-Single Family	-	-	-	-	-	-	42	-	-	27,748	-	3,061,513
Residential-Multi Family	-	-	-	-	-	-	-	-	-	1,345	-	356,051
Residential- Multi Family 4 Units +	-	-	-	-	-	-	-	-	-	18	78,494	68,975
Comm/Land/Lt. Industrial/Non-Res.	-	-	-	-	-	-	37	-	-	2,670	2,594,640	2,310,986
Education-Public	-	-	-	-	-	-	2	-	-	43	127,279	110,588
Education-Private	-	-	-	-	-	-	-	-	-	124	58,932	55,859
Hospital/Convalescent Homes	-	-	-	-	-	-	-	-	-	29	164,836	144,462
Office/Motel-No Restaurant	-	-	-	-	-	-	10	-	-	85	76,768	57,800
Restaurant/ Hotel w/ Restaurant	-	-	-	-	-	-	1	-	-	51	43,587	39,632
Auto Repair/Car Wash	-	-	-	-	-	-	-	-	-	197	78,293	75,390
Laundromat	-	-	-	-	-	-	-	-	-	4	29,232	25,587
CS Irrigation	-	-	-	-	-	-	-	-	-	-	-	-
Totals IVDA	-	-	-	-	-	-	-	-	-	49	62,340	-
Total all users	-	- \$	-	-	- \$	-	92	- \$	-	32,363	3,314,401 \$	6,306,843

	2021			2020			2019			2018		
	Connections	Consumption	Revenue	Connections	Consumption	Revenue	Connections	Consumption	Revenue	Connections	Consumption	Revenue
Residential-Single Family	32,418	-	\$3,997,513	31,889	-	\$4,054,020	33,127	-	\$3,927,784	32,939	-	\$3,916,946
Residential-Multi Family	1,576	-	418,545	1,555	-	412,095	1,606	-	424,665	1,607	-	424,024
Residential- Multi Family 4 Units +	19	80,400	70,647	18	63,529	55,921	17	50,331	44,420	16	51,092	44,945
Comm/Land/Lt. Industrial/Non-Res.	3,138	3,051,177	2,726,198	3,069	2,893,018	2,588,912	3,180	2,904,054	2,601,804	3,198	2,997,422	2,668,497
Education-Public	49	124,047	109,205	37	54,207	48,082	27	24,293	21,700	27	29,478	26,118
Education-Private	149	72,141	68,086	150	63,715	60,941	152	64,643	61,858	150	72,936	67,985
Hospital/Convalescent Homes	35	197,360	172,771	35	197,787	173,367	35	190,191	166,768	35	194,560	170,063
Office/Motel-No Restaurant	93	78,338	59,307	92	79,321	61,027	94	88,632	69,280	94	85,397	66,015
Restaurant/ Hotel w/ Restaurant	51	36,181	33,232	52	38,762	35,480	47	41,583	37,750	41	39,909	35,963
Auto Repair/Car Wash	226	81,945	78,971	221	75,027	73,487	229	76,587	74,854	231	93,474	89,565
Laundromat	5	28,349	24,843	5	24,821	21,771	5	26,639	23,362	5	26,464	23,160
CS Irrigation	-	-	-	21	255,400	71,571	43	423,688	115,905	45	540,444	145,737
Totals IVDA	48	65,559	-	48	56,072	-	50	54,387	-	49	57,057	-
Total all users	37,806	3,815,497 \$	7,759,318	37,192	3,801,659 \$	7,656,675	38,613	3,945,028 \$	7,570,150	38,438	4,188,233	\$7,679,020

	2017			2016		
	Connections	Consumption	Revenue	Connections	Consumption	Revenue
Residential-Single Family	32,899	-	\$3,719,798	-	-	-
Residential-Multi Family	1,609	-	405,007	-	-	-
Residential- Multi Family 4 Units +	15	45,146	41,351	-	-	-
Comm/Land/Lt. Industrial/Non-Res.	3,204	2,626,645	2,467,470	-	-	-
Education-Public	27	29,586	27,420	-	-	-
Education-Private	150	61,381	61,779	-	-	-
Hospital/Convalescent Homes	35	175,241	161,182	-	-	-
Office/Motel-No Restaurant	96	71,092	58,587	-	-	-
Restaurant/ Hotel w/ Restaurant	37	34,788	32,509	-	-	-
Auto Repair/Car Wash	229	73,436	75,421	-	-	-
Laundromat	5	24,091	21,824	-	-	-
CS Irrigation	46	503,780	158,834	-	-	-
Totals IVDA	51	54,874	-	-	-	-
Total all users	38,402	3,700,060	\$7,231,183	-	-	-

Source: Department's records

* The Sewer Collection Utility was transferred to the Water Department on May 1, 2017 so prior year data is unavailable. Data provided for 2017 represents the entire year.